Japan & Korea Activist Target Screen

20 structurally sound, mis-managed businesses with fixable problems

Universe: 124 unique securities from the supplied list: 90 listed in Tokyo and 34 in Korea. **Data as of:** prices at 14-Oct-2026; financials LTM to 30-Jun-2026 unless stated. **Prepared for:** internal idea generation for activist and constructivist engagement. **Sources:**

- S&P Capital IQ, via Adaptive Retrieval and the deterministic financial API, for market data, financials and dividends.
- ProntoNLP-indexed annual securities reports, tanshin and earnings calls.
- Company filings, DART and large-holding reports.
- Press and web sources cited in the working files.

Key conclusions

- **The market moved on; these 20 did not.**
  - Over five years TOPIX rose 105% and KOSPI 200 141% (price).
  - The median 5-year TSR of the 20 names is +19%, and the median shortfall against their home index is 86 percentage points.
  - These are not broken businesses: all 20 are below 1x net debt/EBITDA, and 14 hold net cash outright.
- **The problems repeat, and most are board-actionable.** Five patterns account for almost all of the value gap:
  - **Idle cash and securities.** Cash and investments exceed half of market cap at Hi-Lex, Teikoku Sen-i, Kumho, GungHo, Mitsubishi Motors (auto net cash), TS Tech and NC.
  - **Margin gaps against peers.** Omron 9.0% vs 19.8%; Daikin 8.1% vs 14.2%; NC 13.5% vs 29.7%; Hi-Lex 1.0% vs 4.7%.
  - **Undisciplined M&A and write-downs.** Dentsu (¥638bn of impairments in two years), Canon (Toshiba Medical), NAVER (Poshmark), NC (₩449bn of mobile-casual deals in four months), T. Hasegawa (US), Hodogaya (Framochem), Omron (JMDC).
  - **Holding-company and parent–subsidiary discounts.** Toei/Toei Animation, Omron/JMDC, Canon/Canon Marketing Japan, GungHo/Gravity, Hodogaya/SFC, NAVER/LY Corp.
  - **Entrenched governance.** Long-tenured chair-CEOs (Canon, Daikin, Teikoku Sen-i), takeover defences (Hodogaya, Hi-Lex) and cross-holding webs (Toei, Teikoku Sen-i).
- **The regulatory wind is behind activists in both markets.**
  - **Korea:** the third Commercial Act amendment (effective 6-Mar-2026) makes cancellation of newly acquired treasury shares the default. Cumulative voting is now mandatory for listed companies with more than ₩2tn of assets. NAVER, NC and Kumho all qualify.
  - **Japan:** shareholder proposals were filed at 106 companies in the June-2026 season. TSE cost-of-capital disclosure and ISS's 20%-of-net-assets cross-holding policy give institutions a framework to vote with activists.
- **Half the list is already "in play".**
  - An activist is already on the register at Daikin (Elliott), GungHo and KH Neochem (Strategic Capital), Wacom (AVI), Rinnai (Dalton), Teikoku Sen-i (NAVF/Dalton), Shibaura Machine (Oasis) and Hi-Lex (LIM, Catalyst/Monex). For these, the opportunity is co-investment and coalition voting.
  - **First-mover opportunities**, with no incumbent campaign: Omron, Dentsu, NAVER, Yamaha, Hodogaya, NC, T. Hasegawa, TS Tech, Canon, Toei and Mitsubishi Motors.
- **Where we would start: Omron, Dentsu and Yamaha in Japan, NAVER in Korea, and Hodogaya as an event trade.** Each combines an open, institutional register, a quantifiable value gap and a clear, board-level ask.

Tiering

- **Tier 1 (7 names): highest conviction.** Large and identifiable value gap, a register that will engage, and in most cases a dated catalyst. Omron, Dentsu, NAVER, Yamaha, Daikin, GungHo, Hodogaya.
- **Tier 2 (8 names): strong thesis, harder execution or an incumbent activist.** NC, Kumho, Rinnai, T. Hasegawa, Shibaura Machine, KH Neochem, Wacom, Teikoku Sen-i.
- **Tier 3 (5 names): good economics, difficult registers.** TS Tech, Hi-Lex, Canon, Toei, Mitsubishi Motors. Each has a family, strategic or anchor bloc, or a scale issue, that makes a campaign a multi-year commitment or an event-driven trade.

Support score (1–5) is a judgement of how easily a supportive coalition of top shareholders could be assembled. It considers register composition, blocking or quasi-blocking stakes, existing activists, past vote outcomes and AGM mechanics.

- 5 = a fully institutional, visibly frustrated register with no anchor.
- 1 = effectively impossible without the anchor.

1. Summary tables

Table 1 — Summary screen: the 20 names

#	Company	Mkt cap ($bn)	3y TSR	5y TSR	3y vs peers	5y vs peers	5y vs sector index	5y vs market	ND/ EBITDA	Support (1–5)	Tier
1	Omron (6645 JP)	7.3	+4%	−37%	−39pp	−74pp	−155pp	−142pp	0.52x	4	1
2	Dentsu Group (4324 JP)	6.2	−12%	−2%	−28pp	+18pp	−63pp	−108pp	0.36x	4	1
3	NAVER (035420 KS)	18.5	−4%	−53%	−11pp	−19pp	n/a	−193pp	−1.1x	3	1
4	Yamaha (7951 JP)	3.4	−6%	−45%	−34pp	−73pp	−106pp	−150pp	−1.96x	4	1
5	Daikin Industries (6367 JP)	37.5	−3%	−10%	−138pp	−134pp	−115pp	−116pp	0.39x	4	1
6	GungHo Online (3765 JP)	0.8	+11%	+27%	−67pp	−93pp	−33pp	−78pp	−17.5x	3	1
7	Hodogaya Chemical (4112 JP)	0.2	+43%	−12%	−30pp	−133pp	−48pp	−117pp	−0.2x‡	4	1
8	NC Corp (036570 KS)	2.8	−6%	−63%	0pp	−1pp	n/a	−204pp	−4.0x	3	2
9	Kumho Petrochemical (011780 KS)	1.9	−4%	−23%	+12pp	+24pp	n/a	−163pp	−0.1x	3	2
10	Rinnai (5947 JP)	3.0	+32%	+1%	+24pp	−17pp	−93pp	−104pp	−2.62x	3	2
11	T. Hasegawa (4958 JP)	0.9	+14%	+37%	−29pp	+42pp	0pp	−69pp	−2.36x	3	2
12	Shibaura Machine (6104 JP)	0.7	+38%	+107%	−78pp	+5pp	+2pp	+2pp	−4.5x	4	2
13	KH Neochem (4189 JP)	0.8	+69%	+32%	+3pp	−67pp	−5pp	−73pp	0.45x	4	2
14	Wacom (6727 JP)	0.7	+60%	+34%	+37pp	+15pp	−84pp	−71pp	−0.62x	4	2
15	Teikoku Sen-i (3302 JP)	0.5	+69%	+57%	−40pp	−45pp	+20pp	−48pp	−4.1x	2	2
16	TS Tech (7313 JP)	1.3	+25%	+58%	+32pp	+60pp	+13pp	−48pp	−3.53x	3	3
17	Hi-Lex (7279 JP)	0.5	+68%	+30%	+8pp	−48pp	−15pp	−75pp	−3.76x	2	3
18	Canon (7751 JP)	25.6	+44%	+94%	+16pp	+69pp	−24pp	−11pp	0.72x	3	3
19	Toei (9605 JP)	2.3	+58%	+34%	+37pp	+29pp	−27pp	−72pp	−2.39x	2	3
20	Mitsubishi Motors (7211 JP)	3.0	−30%	+10%	−21pp	−20pp	−34pp	−95pp	0.65x†	2	3

TSR is approximate (S&P closes plus dividends, no reinvestment). Sector index is the relevant NEXT FUNDS TOPIX-17 ETF (price). Market is TOPIX (Japan) or KOSPI 200 (Korea), price. The index comparisons are therefore conservative by roughly 2pp a year of dividends. † Mitsubishi Motors' consolidated figure includes its finance arm; the auto business holds ¥406bn of net cash. ‡ Hodogaya ≈2.0x pro forma after the Framochem acquisition.

Table 2 — TSR: company vs peers, sector and market (1y / 3y / 5y)

#	Company	Company TSR	Peer median TSR	Sector index (ETF)	Market index
1	Omron	+50% / +4% / −37%	+22% / +42% / +37%	+47% / +114% / +118% (1625)	+29% / +79% / +105%
2	Dentsu Group	+19% / −12% / −2%	+15% / +17% / −21%	+14% / +65% / +61% (1626)	+29% / +79% / +105%
3	NAVER	−30% / −4% / −53%	−14% / +7% / −34%	n/a	+85% / +189% / +140%
4	Yamaha	+26% / −6% / −45%	+26% / +27% / +28%	+14% / +65% / +61% (1626)	+29% / +79% / +105%
5	Daikin Industries	+24% / −3% / −10%	+12% / +135% / +124%	+15% / +78% / +105% (1624)	+29% / +79% / +105%
6	GungHo Online	−3% / +11% / +27%	+10% / +78% / +120%	+14% / +65% / +61% (1626)	+29% / +79% / +105%
7	Hodogaya Chemical	+16% / +43% / −12%	+43% / +73% / +121%	+26% / +41% / +37% (1620)	+29% / +79% / +105%
8	NC Corp	+1% / −6% / −63%	−20% / −6% / −62%	n/a	+85% / +189% / +140%
9	Kumho Petrochemical	+8% / −4% / −23%	+6% / −16% / −47%	n/a	+85% / +189% / +140%
10	Rinnai	+1% / +32% / +1%	+5% / +8% / +18%	+19% / +71% / +94% (1619)	+29% / +79% / +105%
11	T. Hasegawa	+28% / +14% / +37%	+22% / +44% / −6%	+26% / +41% / +37% (1620)	+29% / +79% / +105%
12	Shibaura Machine	+23% / +38% / +107%	+45% / +116% / +102%	+15% / +78% / +105% (1624)	+29% / +79% / +105%
13	KH Neochem	+32% / +69% / +32%	+34% / +66% / +99%	+26% / +41% / +37% (1620)	+29% / +79% / +105%
14	Wacom	+11% / +60% / +34%	+13% / +23% / +19%	+47% / +114% / +118% (1625)	+29% / +79% / +105%
15	Teikoku Sen-i	−8% / +69% / +57%	+19% / +109% / +102%	+26% / +41% / +37% (1620)	+29% / +79% / +105%
16	TS Tech	+2% / +25% / +58%	+8% / −8% / −2%	+7% / +16% / +45% (1622)	+29% / +79% / +105%
17	Hi-Lex	−17% / +68% / +30%	+27% / +59% / +78%	+7% / +16% / +45% (1622)	+29% / +79% / +105%
18	Canon	+11% / +44% / +94%	+10% / +27% / +26%	+47% / +114% / +118% (1625)	+29% / +79% / +105%
19	Toei	+6% / +58% / +34%	−14% / +21% / +5%	+14% / +65% / +61% (1626)	+29% / +79% / +105%
20	Mitsubishi Motors	−7% / −30% / +10%	−9% / −9% / +30%	+7% / +16% / +45% (1622)	+29% / +79% / +105%

Table 3 — Valuation and margins vs peer median (company / peer median, LTM)

#	Company	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
1	Omron	1.53x / 5.34x	17.0x / 25.6x	33.5x / 30.8x	4.6% / 3.2%	9.0% / 19.8%	13.1% / 20.7%	0.52x / net cash
2	Dentsu Group	0.76x / 0.70x	7.0x / 10.6x	n.m. / 22.8x	15.4% / 11.1%	10.8% / 9.5%	15.8% / 10.3%	0.36x / 1.14x
3	NAVER	1.86x / 1.64x	10.8x / 17.8x	12.9x / 17.7x	5.6% / 1.3%	17.3% / 12.3%	23.3% / 21.5%	−1.1x / −0.7x
4	Yamaha	0.91x / 1.16x	11.7x / 12.7x	16.7x / 23.8x	8.1% / 5.3%	7.8% / 10.3%	11.1% / 13.4%	−1.96x / —
5	Daikin Industries	1.20x / 2.65x	14.8x / 27.1x	21.7x / 25.8x	5.6% / 4.3%	8.1% / 14.2%	13.6% / 17.3%	0.39x / 1.68x
6	GungHo Online	0.28x / 2.52x	4.2x / 13.6x	53.0x / 28.0x	2.3% / 2.9%	6.8% / 19.8%	7.9% / 22.6%	−17.5x / −1.66x
7	Hodogaya Chemical	0.85x / 1.10x	9.7x / 12.0x	9.3x / 12.1x	3.5% / 2.7%	8.8% / 9.9%	15.5% / 15.3%	−0.2x (≈2.0x pf) / 0.49x
8	NC Corp	1.18x / 1.72x	8.7x / 6.9x	6.3x / 9.3x	5.4% / 9.4%	13.5% / 29.7%	18.0% / 33.9%	−4.0x / −2.3x
9	Kumho Petrochemical	0.36x / 1.15x	5.4x / 11.1x	5.4x / 10.7x	12.5% / −18.8%	6.7% / −1.2%	11.1% / 7.6%	−0.1x / 6.8x
10	Rinnai	0.73x / 0.77x	7.0x / 16.1x	12.9x / 19.0x	7.4% / 0.5%	10.4% / 3.5%	13.5% / 7.3%	−2.62x / −2.86x
11	T. Hasegawa	1.34x / 2.89x	11.5x / 28.0x	17.8x / 46.5x	5.4% / 2.8%	11.6% / 10.5%	18.9% / 16.2%	−2.36x / 2.83x
12	Shibaura Machine	0.70x / 1.07x	30.8x / 14.2x	n.m. / 14.7x	−9.8% / 4.0%	2.3% / 7.5%	5.1% / 11.5%	−4.5x / −0.5x
13	KH Neochem	1.22x / 1.02x	10.5x / 13.9x	13.4x / 16.0x	9.6% / 2.6%	11.6% / 6.9%	17.4% / 14.2%	0.45x / 1.51x
14	Wacom	0.96x / 2.85x	7.8x / 12.6x	11.4x / 12.4x	7.5% / 3.6%	12.3% / 14.9%	14.1% / 17.0%	−0.62x / −1.18x
15	Teikoku Sen-i	1.26x / 0.97x	9.1x / 10.1x	15.9x / 13.4x	6.5% / 3.4%	13.9% / 12.1%	15.8% / 14.3%	−4.1x / −1.7x
16	TS Tech	0.29x / 0.19x	12.5x / 6.8x	25.5x / 14.3x	−2.0% / 18.0%	2.3% / 3.8%	5.6% / 5.8%	−3.53x / +0.25x
17	Hi-Lex	0.11x / 0.27x	11.0x / 4.7x	1.8x§ / 7.9x	2.1% / 14.6%	1.0% / 4.7%	3.8% / 8.0%	−3.76x / −0.55x
18	Canon	1.02x / 0.57x	9.9x / 11.0x	11.7x / 11.6x	6.3% / 14.1%	10.2% / 5.0%	15.4% / 7.8%	0.72x / 1.89x
19	Toei	1.96x / 2.72x	9.9x / 28.7x	15.8x / 26.9x	4.3% / 2.9%	19.9% / 11.3%	22.3% / 15.9%	−2.39x / −1.95x
20	Mitsubishi Motors	0.21x / 0.38x	7.7x / 23.2x	43.6x / 7.6x	−16.5% / 2.2%	2.8% / 2.2%	5.7% / 5.5%	0.65x† / −0.84x

§ Hi-Lex P/E is distorted by a ¥28bn bargain-purchase gain and ¥14bn of securities gains. Dentsu P/E is not meaningful on an LTM loss (13.6x on FY26 guidance). NC's P/E is flattered by a building-sale gain.

Table 4 — Ownership, support and next catalyst

#	Company	Largest holder	Controlling group	Activist on register	Support (1–5)	Next catalyst
1	Omron	Custody a/c 21.5%; Japan Activation Capital 3.9%	None	JAC (engagement)	4	JMDC stake sale; SF 2nd Stage; OnLogic integration
2	Dentsu Group	Kyodo News 7.3%; Jiji Press 6.1%	None (news-agency bloc 13.4%)	None	4	International exits; dividend restoration; Mar-2027 AGM
3	NAVER	NPS 9.25%	None (founder 3.8%)	None	3	Dunamu exchange EGM 26-Feb-2027
4	Yamaha	Sumitomo Life 5.0% (first non-custody)	None (stable bloc ~16.5%)	None	4	Rebuild & Evolve MTP delivery; Yamaha Motor unwind
5	Daikin Industries	Elliott 3.0% (first non-custody)	None	Elliott	4	FUSION30; Elliott ¥1tn buyback ask; Jun-2027 AGM
6	GungHo Online	Taizo Son 22.6% (sale to Sony Music)	None after closing (Sony 22.9%)	Strategic Capital 13.7%; LIM	3	Sony Music closing 30-Dec-2026
7	Hodogaya Chemical	Tosoh 8.6%	None	None	4	SFC KOSPI IPO (from late Nov-2026)
8	NC Corp	Kim Taek-jin 12.2%	Founder 12.4% (+Netmarble 8.9% friendly)	None	3	Treasury cancellation; Aion 2 global; Mar-2027 AGM
9	Kumho Petrochemical	Park Chul-wan 10.3%	Family 18.1% (DART group 26.4%)	Cha Partners (2024)	3	Treasury cancellation; Mar-2027 AGM
10	Rinnai	Naito Co. 13.5%	Founder families ~23%	Dalton	3	Third Dalton campaign likely Jun-2027
11	T. Hasegawa	Founder family co. 16.4%	Family ~21%	None	3	FY9/26 results & capital policy (Nov-2026); Dec-2026 AGM
12	Shibaura Machine	Nomura group 7.9%; Oasis 5.2%	None	Oasis	4	New MTP (May-2027); Jun-2027 AGM
13	KH Neochem	Strategic Capital 18.2%	None	Strategic Capital	4	Capital-allocation review; Mar-2027 AGM
14	Wacom	AVI 14.8% (aggregate)	None (Samsung 6.2%)	AVI	4	Jun-2027 AGM (CEO at 64.3% in 2026)
15	Teikoku Sen-i	NAVF/Dalton group 10.1%	None (stable bloc ~26%)	NAVF; Dalton	2	Mar-2027 AGM (third round)

#	Company	Largest holder	Controlling group	Activist on register	Support (1–5)	Next catalyst
16	TS Tech	Honda 21.9%	Honda 21.9%	None	3	Honda cross-holding unwind
17	Hi-Lex	Teraura Kosan 27.7%	Teraura group 31.8%	LIM; Catalyst/Monex; Zennor 7.7%	2	Jan-2027 AGM; take-private optionality
18	Canon	Mizuho Bank 2.6% (first non-custody)	None	None	3	Mar-2027 AGM; treasury cancellation
19	Toei	TV Asahi HD 19.4%	None (strategic bloc ~49%)	None	2	Broadcaster cross-holding unwinds
20	Mitsubishi Motors	Nissan 26.7%	Anchors 50.5% (Nissan, MC, MHI)	None	2	Lock-up expiry 20-Oct-2026

2. Scope, method and screen

Screen criteria applied

Criterion	Threshold	Application
Balance-sheet capacity	Net debt/EBITDA < 1.0x, or net cash	LTM to Jun-2026, S&P Capital IQ. Two stated exceptions (below).
Ownership	No single holder or controlling group > 40%	Family members, family asset companies and family foundations are aggregated, as are parents with subsidiaries and Korean "specially related parties". Custody nominees are not treated as holders.
TSR underperformance	3- or 5-year TSR below the market index **and** below the sector benchmark	Sector benchmark is the TOPIX-17 sector index (Japan) and/or a listed peer median. Market index is TOPIX or KOSPI 200.
Business quality	Structurally sound franchise	Excludes loss-making or structurally challenged models (e.g. Sanken, gumi) and founder-led growth stories (SHIFT, Appier).
Fixability	Identifiable, board-actionable remedies	Excess cash or overhead, undisciplined M&A, sub-scale or non-core segments, undervalued assets, cross-holdings, poor management or board

The funnel

Step	Names remaining	Removed	Main reasons
Unique securities in the supplied list	124	—	90 Japan, 34 Korea
Leverage test	90	34	Utilities, railways, chemical majors, Korean holding companies, developers
Control / investability test	68	22	Family or parent > 40% (mostly Korean small caps and Japanese founder companies); 3 delisted or under tender offer
TSR and business-quality triage	42 researched in depth (registers, TSR vs peers, valuation, governance)	—	Names already re-rated, micro-caps, growth stories; control failures found during deep dives are counted above
Final selection	**20**	—	Ranked on size of value gap × fixability × support

Stated exceptions

- **Hodogaya (#7), leverage.** Reported ND/EBITDA is −0.2x, but about 2.0x pro forma after the Framochem deal (Aug-2026). Included because its 53% SFC stake is worth about 1.85x Hodogaya's market cap: on a look-through basis it is substantially over-capitalised.
- **Mitsubishi Motors (#20), leverage definition.** Consolidated ND/EBITDA of 0.65x includes the finance subsidiary. The automobile business has ¥406bn of net cash.
- **TS Tech (#16) and Kumho Petrochemical (#9), TSR.** Both trail their market index by wide margins (TS Tech by 48pp over 5 years, Kumho by 163pp). However, both *beat* weak sector peer sets: auto-seat makers in TS Tech's case, levered and loss-making Korean petrochemicals in Kumho's. They are included because the fixable capital-allocation issues are among the clearest on the list. A strict reader can treat them as alternates.
- **Canon (#18), Toei (#19) and Wacom (#14)** beat their hand-picked peer medians but trail their TOPIX-17 sector index by 24–84pp over 5 years. They pass the TSR test on the sector-index definition.

Benchmarks (price return to 14-Oct-2026)

Benchmark	1y	3y	5y
TOPIX (via NEXT FUNDS TOPIX ETF 1306)	+29.0%	+78.8%	+105.2%
KOSPI 200 (via KODEX 200)	+85.0%	+189.3%	+140.5%
TOPIX-17 Electric Appliances & Precision (1625)	+47.4%	+114.1%	+118.3%
TOPIX-17 Machinery (1624)	+14.7%	+78.5%	+104.9%
TOPIX-17 IT & Services, Others (1626)	+14.1%	+65.4%	+60.7%
TOPIX-17 Raw Materials & Chemicals (1620)	+26.2%	+41.4%	+37.0%
TOPIX-17 Automobiles & Transport Equipment (1622)	+7.2%	+16.1%	+44.9%
TOPIX-17 Construction & Materials (1619)	+18.8%	+71.2%	+94.3%

Data integrity — read before using any number

- **TSR is approximate.** It uses split-adjusted closes on fixed dates plus fiscal-year dividends paid in the window, with no reinvestment. Index comparisons are price-only, so they *understate* each target's shortfall by roughly 2pp a year.
- **Valuation multiples** are trailing (LTM) and on S&P's TEV definition.
  - Where cash and listed stakes are large, ex-cash and look-through figures are given in the dossiers, and those are the ones that matter.
  - Peer medians are only as good as the peer set. Weak sets are flagged (for example Kumho, TS Tech, Tokyotokeiba).
- **Shareholder registers** come from the latest annual securities report or DART filing. Dates differ by company. Custody accounts aggregate many beneficial owners.
  - Several AGM vote percentages and secondary holders could not be retrieved and are marked n/a.
  - Registers should be re-pulled, and a beneficial-ownership analysis commissioned, before any approach.
- **Web-sourced facts** came from search-engine extracts of the cited pages, because direct page retrieval was unavailable. Primary documents should be checked before external use.
- **Anything described as a company's likely defence is inference**, not a quotation.

3. Company dossiers

How to read each dossier:

- **TSR** is approximate total shareholder return: S&P Capital IQ split-adjusted closes on 15-Oct-2021, 13-Oct-2023, 15-Oct-2025 and 14-Oct-2026, plus fiscal-year dividends per share paid in the window, with no reinvestment.
- **Peer median** uses the same method across the named listed peers.
- **Sector index** is the NEXT FUNDS TOPIX-17 sector ETF on price return. Japanese market index returns (TOPIX) and the Korean KOSPI 200 are also price return.
- **Valuation and margins** are LTM to 30-Jun-2026 (S&P Capital IQ) unless stated.
- **Shareholdings** come from the latest annual securities report (Japan) or DART filings and large-holding reports (Korea).
- **Defences** are our inference of what management would argue, usually in its own medium-term-plan language.

1. OMRON Corporation (6645 JP) — Tier 1

Factory automation (IAB), healthcare devices, social systems, data solutions (JMDC) · Market cap ¥1,156bn (US$7.3bn) · Support score 4/5

TSR	1y	3y	5y
Omron	**+50.1%**	**+3.6%**	**−36.9%**
Peer median (Keyence, Fanuc, Yaskawa, Azbil, Rockwell)	+21.7%	+42.3%	+36.7%
TOPIX-17 Electric Appliances & Precision (1625)	+47.4%	+114.1%	+118.3%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Omron	1.53x	17.0x	33.5x	4.6%	9.0%	13.1%	0.52x
Peer median	5.34x	25.6x	30.8x	3.2%	19.8%	20.7%	net cash

Top 5 shareholders (31-Mar-2026):

Holder	Stake	Type
Master Trust Bank (trust a/c)	21.49%	Custody
Custody Bank of Japan (trust a/c)	10.33%	Custody
Japan Activation Capital, two funds	3.94%	Engagement fund
Bank of Kyoto	3.58%	Bank
State Street 505103	2.47%	Nominee

There is no controlling holder. Treasury shares are 4.3%.

What an activist would say

- **A world-class FA franchise earning half its peers' margin.** Group EBIT margin is 9.0% vs a 19.8% peer median, and SG&A is 31.1% of sales vs 26.9%. FY3/26 ROE was 3.5% and ROIC 3.0%.
- **The market has stopped paying for the conglomerate.** 5-year TSR is −37%, 74pp behind FA peers and 155pp behind Omron's own TOPIX sector. Industrial automation, healthcare, social systems and a listed data subsidiary (JMDC) share little but a logo.
- **Capital goes to deals, not owners.**
  - The ¥81bn proceeds from the device-module (DMB) sale to Carlyle were immediately recycled into a US$675m OnLogic acquisition.
  - JMDC was bought at ¥5,700/share in 2023 and now trades at ¥3,785.
  - The data segment earns about 0.8% on ¥443bn of assets.
  - Buybacks totalled ¥1.35bn in three years.

Most actionable changes

1. **Become a pure-play automation company.** Separate Healthcare (¥145bn sales, 10.6% OP margin) and Social Systems (¥153bn, 12.9%) by sale or spin-off. Set a public 15%+ IAB margin target linked to executive pay.

2. **Exit JMDC.** The 54% stake is worth about ¥134bn, roughly 12% of Omron's market cap. Sell it to a strategic or PE buyer, ending the parent–subsidiary listing.
3. **Return capital.** Commit the DMB and JMDC proceeds to a buyback of at least ¥150bn, and pause bolt-on M&A until group ROIC exceeds the cost of capital.

Ease of building support: 4/5. The register is essentially all institutional, with no strategic anchor above 4%. Japan Activation Capital (3.9%) is a collaborative fund already inside and a natural first call. The size of the gaps (vs peers, sector and TOPIX) makes the case simple to explain to global long-only holders. The main obstacle is momentum: the stock is up 50% in a year on the FA cycle, which reduces urgency.

Expected defence (inference). "Our 'SF 2nd Stage' roadmap already rebuilds the portfolio: DMB is sold, 39 businesses have been triaged and FY3/27 OP is guided up to ¥80bn. JMDC is strategic healthcare data, and the 2022 tie-up gives JMDC a say over disposals above 5%. OnLogic is growth investment at the start of an FA upcycle, and a 3% DOE is a stable floor. We already work constructively with JAC."

Activist angles: Portfolio simplification (primary) · Capital allocation · M&A discipline · Margin and overhead

2. Dentsu Group (4324 JP) — Tier 1

Advertising and marketing services · Market cap ¥972bn (US$6.15bn) · Support score 4/5

TSR	1y	3y	5y
Dentsu	**+19.0%**	**−11.6%**	**−2.5%**
Peer median (Hakuhodo DY, CyberAgent, Publicis, Omnicom, WPP)	+14.8%	+16.6%	−21.0%
TOPIX-17 IT & Services, Others (1626)	+14.1%	+65.4%	+60.7%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Dentsu	0.76x	7.0x	n.m. (LTM loss; 13.6x FY26 guide)	15.4%	10.8%	15.8%	0.36x
Peer median	0.70x	10.6x	22.8x	11.1%	9.5%	10.3%	1.14x

Top 5 shareholders (2026):

Holder	Stake	Type
Master Trust Bank (trust a/c)	11.57%	Custody
Kyodo News	7.29%	Legacy founding news agency
Jiji Press	6.08%	Legacy founding news agency
Silchester International Investors (via Northern Trust)	4.18%	Value investor
Custody Bank of Japan	3.45%	Custody

There is no controlling group.

What an activist would say

- **Two businesses, one valuation.**
  - dentsu Japan grows about 6% organically at a 24% underlying margin.
  - International earns about 7%. It has destroyed ¥638bn of goodwill in two years (impairments of ¥235bn in FY24 and ¥403bn in FY25).
  - Net losses were ¥11bn, ¥192bn and ¥328bn in FY23–25.
- **A cash generator that cannot pay a dividend.**
  - The stock trades at 7x EV/EBIT with a 15% FCF yield.
  - Parent distributable reserves are −¥234bn, so there was no dividend for FY25 and none planned for FY26.
- **The exit failed.** The international sale process collapsed in Feb-2026 when bidders walked away. 3-year TSR trails peers by 28pp and TOPIX by 90pp.

Most actionable changes

1. **Exit International market by market** (regional sales, mergers, local MBOs), with a hard deadline and no new capital for loss-making markets. Value the Japan business on its own.
2. **Sell non-operating assets to rebuild distributable reserves.** These include ¥76bn of strategic shareholdings, the stake in listed group company Dentsu Soken (¥559bn market cap; stake to be verified) and the GO Inc. stake. Commit to a payout of at least 50% once reserves are positive.
3. **Set up a board-level strategic review committee of independent directors.** Accelerate the 30% HQ cost cut and tie pay to Japan EBIT and FCF per share.

Ease of building support: 4/5. No controlling holder. The legacy news-agency bloc (Kyodo plus Jiji, 13.4%) is passive. Silchester is a patient value investor likely to back a clean-up. Institutions have already shown they will vote against: the former CEO received only 65.6% approval in 2023. The new CEO (86.9% in 2026) will ask for time.

Expected defence (inference). "Restoring competitiveness is under way: a new CEO, about ¥50bn of savings by 2027, and entities halved. Paying a dividend is legally impossible until distributable reserves turn positive. The sale process tested the market and no buyer met our value, and local partnerships remain open. Japan grows 6% at 24% margins, so a break-up is not needed."

Activist angles: Portfolio simplification · Capital allocation · M&A discipline (write-downs) · Governance

3. NAVER Corporation (035420 KS) — Tier 1

Search, commerce, fintech, webtoon, cloud and AI · Market cap ₩26.0tn (US$18.5bn) · Support score 3/5

TSR	1y	3y	5y
NAVER	**−29.6%**	**−4.1%**	**−52.9%**
Peer median (Kakao, LY Corp, Alphabet, Coupang)	−14.3%	+7.3%	−34.0%
KOSPI 200	+85.0%	+189.3%	+140.5%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
NAVER	1.86x	10.8x	12.9x	5.6%	17.3%	23.3%	−1.1x
Peer median	1.64x	17.8x	17.7x	1.3%	12.3%	21.5%	−0.7x

Top shareholders:

Holder	Stake	Notes
National Pension Service	9.25%	8.8% pro forma after the NVIDIA issue
BlackRock	about 6.0%	Pro forma
NVIDIA	4.5%	New shares; payment due 30-Oct-2026
Founder Lee Hae-jin	3.8%	Board chair
5th holder	n/a	

There is no controlling group. Treasury is about 2% after the Aug-2026 retirement.

What an activist would say

- **Earnings up, stock down.** From FY21 to FY25 revenue rose from ₩6.8tn to ₩12.0tn and OP from ₩1.33tn to ₩2.21tn, but the shares fell 54%. They now trade at 0.88x book and 10.8x EV/EBIT, about 190pp behind KOSPI 200 over both 3 and 5 years.
- **A holding-company discount hides the core.** The 50% A Holdings (LY Corp) stake is carried at ₩15.0tn, 58% of market cap. Add 61% of WEBTOON (about ₩1.1tn) and ₩3.4tn of net cash, and the market is paying very little for Korea's dominant search and commerce franchise.
- **Capital allocation is the problem.**
  - Write-downs on Poshmark, Wattpad and Munpia (₩138bn impairment in FY24).
  - AI capex at 13% of revenue, which cut Q2-26 FCF to ₩46bn.
  - The NAVER Financial–Dunamu share exchange keeps control but cuts NAVER's economic interest in its fintech arm from 89% to about 17%.

Most actionable changes

1. **Re-price or re-structure the Dunamu exchange.** Require an independent fairness opinion and majority-of-minority approval at the EGM now set for 26-Feb-2027. Appraisal claims of ₩1.2tn or more allow termination, which is a usable lever.
2. **Ring-fence AI infrastructure.** Fund the 200MW "AI factory" off balance sheet with partner capital (NVIDIA/Brookfield structures already exist). Publish ROIC hurdles and a group capex cap.
3. **Monetise the investment book.** Sell Poshmark and the tail of minority stakes, consider partial monetisation of the A Holdings/LY position, and raise returns to at least 50% of FCF through cancelled buybacks.

Ease of building support: 3/5. There is no controlling shareholder, NPS and foreign institutions dominate, and cumulative voting is now mandatory for companies with assets above ₩2tn, so a minority board seat is realistic. Against that, the founder chairs the board despite a 3.8% stake, NVIDIA's new 4.5% will side with management, and the Korean retail base is large and fragmented.

Expected defence (inference). "AI and data-centre capacity is existential (sovereign and 'actionable' AI), and returns are already linked to 25–35% of FCF. We have retired 12m shares since 2023. NVIDIA paid a premium to market, which validates the strategy. Dunamu creates a ₩20tn fintech champion under NAVER control. The board has an independent majority."

Activist angles: Capital allocation · Minority protection / governance · M&A discipline · Portfolio (holding-company discount)

4. Yamaha Corporation (7951 JP) — Tier 1

Musical instruments and audio equipment · Market cap ¥535bn (US$3.4bn) · Support score 4/5

TSR	1y	3y	5y
Yamaha	**+25.7%**	**−6.1%**	**−45.2%**
Peer median (Roland, Kawai, Casio, Sony)	+26.5%	+27.4%	+28.2%
TOPIX-17 IT & Services, Others (1626)	+14.1%	+65.4%	+60.7%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Yamaha	0.91x	11.7x	16.7x	8.1%	7.8%	11.1%	−1.96x
Peer median	1.16x	12.7x	23.8x	5.3%	10.3%	13.4%	—

Top 5 shareholders (31-Mar-2026):

Holder	Stake	Type
Master Trust Bank (trust a/c)	22.27%	Custody
Custody Bank of Japan	8.51%	Custody
Sumitomo Life	4.98%	Insurer
Shizuoka Bank	4.90%	Bank
Nippon Life	3.41%	Insurer

The 6th holder is Yamaha Motor (3.20%). The "stable" bloc of insurers, bank and Yamaha Motor totals about 16.5%. There is no family control.

What an activist would say

- **The world's leading instrument brand has stopped growing.** Sales have been about ¥465bn for three years. Musical Instruments earns a 7.0% OP margin and group OP is ¥32bn (6.9%). LTM ROE is 6.5% against the plan's 10%.
- **China was treated as structural and wasn't.** About ¥14bn of piano-plant impairments and severance in China and Indonesia followed the collapse in piano-education demand. 5-year TSR is −45%, 73pp behind peers.
- **A lazy balance sheet.**
  - Net cash of ¥103bn (19% of market cap).
  - A residual Yamaha Motor stake, plus Yamaha Motor's 3.2% holding in Yamaha.
  - 1.8 million m² of resort land carried at only about ¥3bn.

Most actionable changes

1. **Restructure the acoustic-piano footprint** in China and Indonesia. Commit to a 12% group OP margin by FY3/28, with pay linked to the target.
2. **Run a strategic review of Audio** (¥143bn sales, 7.6% margin; pro-audio and music-production brands that may be worth more to a strategic owner) and of the resort and real-estate holdings.
3. **Return the surplus.** Buy back ¥100bn over two years with cancellation, and fully unwind the remaining Yamaha Motor cross-holding in both directions.

Ease of building support: 4/5. There is no family or parent, and the board is 75% independent in a three-committee structure, which makes it receptive to a well-argued plan. The stable bloc (two life insurers, Shizuoka Bank, Yamaha Motor; about 16.5%) is under regulatory pressure to cut cross-holdings and cannot be relied on by management.

Expected defence (inference). "'Rebuild & Evolve' is working: FY3/27 OP is guided up 32%, and we return at least 50% of earnings and cancel bought-back shares. We have already sold down Yamaha Motor twice, and the residual supports the shared brand. Cash funds new businesses and buffers China and US-tariff risk. The board is best-in-class."

Activist angles: Capital allocation · Portfolio review (Audio, real estate) · Operational / margin

5. Daikin Industries (6367 JP) — Tier 1 (activist present: Elliott)

HVAC and refrigeration, fluorochemicals · Market cap ¥5,931bn (US$37.5bn) · Support score 4/5

TSR	1y	3y	5y
Daikin	**+24.3%**	**−2.9%**	**−10.5%**
Peer median (Carrier, Trane, Lennox, Johnson Controls, Mitsubishi Electric)	+12.5%	+135.2%	+123.5%
TOPIX-17 Machinery (1624)	+14.7%	+78.5%	+104.9%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Daikin	1.20x	14.8x	21.7x	5.6%	8.1%	13.6%	0.39x
Peer median	2.65x	27.1x	25.8x	4.3%	14.2%	17.3%	1.68x

Top 5 shareholders (31-Mar-2026):

Holder	Stake	Type
Master Trust Bank (trust a/c)	18.43%	Custody
Custody Bank of Japan	7.35%	Custody
State Street 505001	3.77%	Nominee
Elliott International	3.01%	Activist
Chase Manhattan London SL omnibus	2.56%	Nominee

There is no controlling group.

What an activist would say

- **Global volume leader, peer-trailing margins.** AC/Refrigeration earns an 8.2% OP margin against 18–20% at Trane and Lennox. SG&A is 26.2% of sales vs a 17.6% peer median.
- **The HVAC re-rating went to everyone except Daikin.** 5-year TSR is −10.5% vs +124% for global peers. ROE fell from 12.3% (FY3/23) to 9.1% (FY3/26). The company's own disclosures show 5-year TSR indexed at 90 against 175 for the Nikkei 225.
- **The balance sheet sat idle until an activist arrived.** There were no buybacks in FY3/24–26, then ¥350bn within a month of Elliott going public. The Chairman & CEO has run the company for about 15 years.

Most actionable changes

1. **Accelerate the margin roadmap.** FUSION30's 12% OPM by FY3/31 is too slow: pull it forward to FY3/29 with an SG&A target of 20% or less, and link performance share units to OPM and relative TSR.
2. **Decide the portfolio now, not after a "3-year review".** Exit the Filter business and European refrigeration within 12 months, and consider separate reporting or a separation path for Chemicals (10.8% OPM, 20% target).
3. **Capital and governance.** Run a multi-year buyback of up to ¥1tn (Elliott's ask) with cancellation, unwind the distributor cross-holdings, and separate the chair and CEO roles.

Ease of building support: 4/5. The register is institutional, with Elliott's 3% already public and investors primed by its April 2026 presentation. The issue is crowding: a second activist adds less, so the best role is a co-investor or a supporter of specific board resolutions.

Expected defence (inference). "FUSION30 already commits to 12% OPM and ROE above 15%, in line with US rivals, and we executed ¥350bn (about 6% of market cap) at once. ¥1.8tn of growth investment (Applied, data centres, India) and our credit rating come first. The low-margin units are on a turnaround-or-exit review. Global breadth justifies a different margin structure."

Activist angles: Margin and overhead · Capital allocation · Portfolio · Governance (chair/CEO)

6. GungHo Online Entertainment (3765 JP) — Tier 1 (event-driven)

Mobile games (Puzzle & Dragons); owns 59% of Gravity (Nasdaq: GRVY) · Market cap ¥127bn (US$0.81bn) · Support score 3/5

TSR	1y	3y	5y
GungHo	**−2.7%**	**+11.1%**	**+27.3%**
Peer median (Capcom, Square Enix, Konami, Sega Sammy, MIXI)	+10.2%	+78.0%	+120.3%
TOPIX-17 IT & Services, Others (1626)	+14.1%	+65.4%	+60.7%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
GungHo	0.28x	4.2x	53.0x	2.3%	6.8%	7.9%	−17.5x
Peer median	2.52x	13.6x	28.0x	2.9%	19.8%	22.6%	−1.66x

Top shareholders:

Holder	Stake	Notes
SON Financial (Taizo Son)	22.58%	Under contract to Sony Music at ¥2,385; closing 30-Dec-2026
Strategic Capital (incl. Japan-Up fund)	13.67%	Activist
Master Trust Bank	10.33%	Custody
LIM Japan Event Master Fund	n/a	2026 proposer
5th holder	n/a	

Treasury is about 1.5% after the 2026 cancellations.

What an activist would say

- **The cash is worth more than the company.**
  - Net cash of ¥131bn exceeds the ¥127bn market cap.
  - Strip out Gravity: GungHo's own cash is about ¥58bn and its 59% Gravity stake is worth about ¥43bn.
  - That values the games business at about ¥26bn, and on our estimate it lost about ¥2.5bn of EBIT LTM.
- **No hit in years, but the pay kept rising.** Net income fell from ¥22.9bn (FY21) to ¥1.4bn (FY25), and SG&A is 40% of sales. The board itself conceded no new hit "in years". At the Sep-2025 EGM, 28% voted to dismiss the long-serving CEO.
- **A control block is changing hands with no premium for minorities.** The founder is selling 22.6% to Sony Music at ¥2,385, 2% *below* market. Minorities are being left with a new anchor and an unchanged capital policy.

Most actionable changes

1. **Price the Sony transaction for everyone.** Push the board to form a special committee and seek either a full offer or binding minority protections before the 30-Dec-2026 closing.
2. **Return the excess cash and end the listed-subsidiary structure.** Tender for at least ¥50bn, and sell or fully merge Gravity, a Nasdaq "controlled company" whose 58% of licence revenue comes from GungHo.
3. **Governance.** Install an independent chair (the former CEO of 22 years is still chairman), disclose revenue by title, and reset pay to TSR.

Ease of building support: 3/5. Strategic Capital (13.7%) and LIM are already active, and institutions have shown frustration (CEO approval 74.5% in 2025, a 28% dismissal vote). After closing, Sony's 22.9% becomes the swing vote, which can work for or against minorities. It is the key relationship to manage.

Expected defence (inference). "Management has changed. Total returns now exceed 100% of earnings (4% DOE, payout of at least 50%, buybacks and cancellations). Game development is hit-driven and needs a cash buffer. The Sony Music alliance gives us IP and entertainment know-how, and Sony is a supportive long-term shareholder. Gravity is a strategic, profitable subsidiary."

Activist angles: Capital allocation · Governance · M&A / control event (Sony) · Portfolio (Gravity)

7. Hodogaya Chemical (4112 JP) — Tier 1 (catalyst: SFC IPO)

OLED materials (via 53%-owned SFC, Korea), functional colorants, resins, agro · Market cap ¥32bn (US$0.20bn) · Support score 4/5

TSR	1y	3y	5y
Hodogaya	**+16.1%**	**+42.7%**	**−11.5%**
Peer median (Tosoh, Nippon Kayaku, artience, Nippon Soda)	+43.1%	+72.6%	+121.4%
TOPIX-17 Raw Materials & Chemicals (1620)	+26.2%	+41.4%	+37.0%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Hodogaya	0.85x	9.7x	9.3x	3.5%	8.8%	15.5%	−0.20x (≈2.0x pro forma)
Peer median	1.10x	12.0x	12.1x	2.7%	9.9%	15.3%	0.49x

Top 5 shareholders (31-Mar-2026):

Holder	Stake	Type
Master Trust Bank	9.7%	Custody
Tosoh	8.6%	Strategic
Matsui Securities	5.5%	Retail nominee
Japan Securities Finance	4.4%	Margin nominee
Mizuho Bank	3.7%	Bank

There is no controlling holder.

> **Leverage exception.** Reported net debt/EBITDA is −0.2x at Jun-2026. After the ¥16bn Framochem acquisition (closed 25-Aug-2026) it is about 2.0x pro forma. We include Hodogaya because the SFC stake alone is worth about 1.85x the market cap: on a look-through basis the balance sheet is very under-levered.

What an activist would say

- **A listed company worth less than one of its holdings.** Hodogaya owns 52.96% of SFC, the Korean OLED-materials maker. SFC's KOSPI IPO targets about ₩1tn, which values the stake at about ¥59bn, roughly 1.85x Hodogaya's market cap. The shares trade at 0.59x book.
- **Diversifying while the core under-earns.** Management spent ¥16bn (about 50% of market cap) on Framochem (Hungary) and is launching a nucleic-acid CDMO. Meanwhile resins are loss-making, net income has been flat for five years and guidance was cut in Nov-2025.
- **Entrenched.** 5-year TSR is −11.5% vs +121% for chemical peers. The board reviewed continuing its takeover-defence plan in May-2026. Investment securities of ¥15.6bn equal 49% of market cap.

Most actionable changes

1. **Crystallise SFC at the IPO** (as early as late Nov-2026). Sell down part of the stake and return the proceeds, or distribute SFC shares, then target a sum-of-the-parts discount below 20%.
2. **Stop the diversification spend.** Freeze the CDMO until it clears a stated ROIC hurdle, exit or fix functional resins, and integrate Framochem for cash, not growth.
3. **Unwind defences and cross-holdings.** Abolish the takeover-defence plan and sell down the ¥15.6bn securities portfolio.

Ease of building support: 4/5. No anchor holder; Tosoh's 8.6% is a financial position for a company under its own capital-efficiency pressure. Retail and margin-account ownership is high. At a ¥32bn market cap, a 10% position costs about ¥3bn, and ISS and Glass Lewis typically oppose poison pills.

Expected defence (inference). "The SFC IPO will make the value visible, and the OLED downturn is cyclical. Framochem secures our phosgene-chemistry platform and exports. 'CODE/CHORD 2030' builds a second pillar in nucleic-acid CDMO. We are raising the dividend to ¥60, and our defence policy protects corporate value."

Activist angles: Undervalued asset / sum-of-the-parts (SFC) · Capital allocation · M&A discipline · Governance (poison pill)

8. NC Corp / NCSoft (036570 KS) — Tier 2

Online and mobile games (Lineage, Aion, Throne and Liberty) · Market cap ₩3.91tn (US$2.78bn) · Support score 3/5

TSR	1y	3y	5y
NC	**+0.6%**	**−5.9%**	**−63.0%**
Peer median (Krafton, Netmarble, Nexon, Pearl Abyss, Shift Up)	−19.6%	−5.5%	−62.0%
KOSPI 200	+85.0%	+189.3%	+140.5%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
NC	1.18x	8.7x	6.3x (flattered by building-sale gain)	5.4%	13.5%	18.0%	−4.0x
Peer median	1.72x	6.9x	9.3x	9.4%	29.7%	33.9%	−2.3x

Top shareholders:

Holder	Stake	Notes
Founder Kim Taek-jin	12.20%	12.37% with related parties
National Pension Service	10.25%	
Saudi Electronic Gaming Holding Co.	9.43%	Identity and % differ by source
Netmarble	8.88%	Cross-holding: NC owns 6.9% of Netmarble
5th holder	n/a	

Treasury shares are 9.62%.

What an activist would say

- **A decade of single-franchise dependence.** Revenue fell 41%, from ₩2.57tn (FY22) to ₩1.51tn (FY25). OP went from ₩559bn to ₩8bn while R&D ran at 22–27% of revenue. 5-year TSR is −63%, about 200pp behind KOSPI 200.
- **A cash box with a game studio attached.** Net cash and investments are about 52% of market cap. 9.6% treasury stock sits uncancelled, and the FY25 dividend was cut to 6.4% of reported net income.
- **The turnaround is real, and management is already spending it.** Aion 2 and Lineage Classic lifted Q2-26 OP margin to 23%. Within four months, management committed about ₩449bn to low-margin mobile-casual acquisitions (JustPlay, Lihuhu/Indygo, Springcomes). That segment spent ₩132bn on marketing against ₩170bn of quarterly revenue.

Most actionable changes

1. **Cancel the 9.6% treasury now** (consistent with the March-2026 Commercial Act amendment) and authorise a ₩500bn buyback from net cash.
2. **Put an M&A moratorium in place until the board adopts a capital-allocation framework**: hurdle rates, post-deal reviews, and a cap of 10% of market cap per year. Unwind the Netmarble cross-holding (6.9%, about ₩198bn).
3. **Re-shape the board.** Add game-industry independents through cumulative voting, separate board chair from the founder co-CEO, and tie pay to EBIT margin vs the peer median.

Ease of building support: 3/5. The founder bloc is 12.4%, and with Netmarble's friendly 8.9% about 21%. NPS (10.25%) and the Saudi holder (9.4%) are the swing votes. Cumulative voting (mandatory above ₩2tn of assets) makes a dissident seat achievable, and no single bloc can block.

Expected defence (inference). "'Back to basics' worked: record PC revenue and a 23% margin in Q2-26, with the Aion 2 global launch and ten new IPs ahead. Treasury stock is a currency for M&A and staff pay, and we already cancelled 1.9% and pay 30% of adjusted NI. Mobile casual diversifies away from Lineage and Korea. Net cash funds the ₩580bn Pangyo R&D centre."

Activist angles: Capital allocation · M&A discipline · Governance

9. Kumho Petrochemical (011780 KS) — Tier 2

Synthetic rubber and NB latex, resins, phenol chain · Market cap ₩2.70tn (US$1.92bn) · Support score 3/5

TSR	1y	3y	5y
Kumho	**+8.1%**	**−4.3%**	**−22.8%**
Peer median (LG Chem, Lotte Chemical, Hanwha Solutions, Zeon)	+6.3%	−16.4%	−47.0%
KOSPI 200	+85.0%	+189.3%	+140.5%

Kumho beats a levered, loss-making Korean petrochemical peer set but trails KOSPI 200 by 163pp over 5 years.

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Kumho	0.36x	5.4x	5.4x	12.5%	6.7%	11.1%	−0.1x
Peer median	1.15x	11.1x (Zeon only)	10.7x (Zeon only)	−18.8%	−1.2%	7.6%	6.8x

Top 5 shareholders (2025–26 filings):

Holder	Stake	Notes
Park Chul-wan	10.33%	Dissident nephew; selling down
National Pension Service	9.64%	
Park Joon-kyung	8.68%	President
Park Chan-koo	8.11%	Chairman
Park Joo-hyung	about 1.3%	

The Chairman's family holds 18.1%. The DART "largest shareholder and related parties" total, covering both branches, is 26.4%. Treasury is about 10.5%.

What an activist would say

- **The best operator in a broken sector, priced as if it were the worst.** SG&A is only 3.6% of revenue, the balance sheet is net cash and FCF yield is 12.5%. Yet the shares trade at 0.40x book and 5.4x earnings.
- **93% of the market cap is cash and investments.** Cash of ₩949bn plus long-term investments of ₩1.57tn (including the OCI stake, up about 3x in 2026) total ₩2.5tn. Dividends paid fell from ₩281bn (FY22) to ₩58bn (FY25).
- **The governance discount should be closing, but there is no capital plan.** The family dispute has ended and the dissident's block is being sold. About 10.5% treasury remains uncancelled and returns are capped at 40% of *separate* net income.

Most actionable changes

1. **Cancel the remaining ~10.5% treasury** and launch a ₩300bn+ buyback, in line with the new treasury-share regime.
2. **Monetise the ₩1.57tn investment book**, starting with the OCI cross-holding after its re-rating. Return the proceeds and publish a capital framework targeting ROE above 10% by 2028, ahead of the company's 2030 goal.
3. **Add an NPS-endorsed independent director through cumulative voting**, separate chair and CEO, and set a mandatory-cancellation policy for future buybacks.

Ease of building support: 3/5. The founding family holds 18% against NPS at 9.6% plus foreign institutions. Cha Partners' 2024 resolution got 25.6% with ISS and Glass Lewis opposed, so a better-designed, adviser-friendly campaign should do better. Park Chul-wan's roughly 10% block could pass to a constructive holder.

Expected defence (inference). "We delivered what we promised: 50% of treasury cancelled, 40–42% of separate NI returned, and the cleanest balance sheet in Korean petrochemicals. Holding net cash through the trough (peers average 6.8x leverage) is prudence, not hoarding. We are growing specialty and eco businesses toward 10% ROE by 2030. Shareholders backed us at 74–76% in 2024."

Activist angles: Capital allocation (primary) · Governance

10. Rinnai Corporation (5947 JP) — Tier 2 (activist present: Dalton)

Gas water heaters and appliances (Japan, US, China, Australia, Korea) · Market cap ¥467bn (US$2.95bn) · Support score 3/5

TSR	1y	3y	5y
Rinnai	**+1.4%**	**+31.5%**	**+1.3%**
Peer median (Noritz, Corona, Chofu, A.O. Smith)	+5.2%	+7.8%	+18.0%
TOPIX-17 Construction & Materials (1619)	+18.8%	+71.2%	+94.3%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Rinnai	0.73x	7.0x	12.9x	7.4%	10.4%	13.5%	−2.62x
Peer median	0.77x	16.1x	19.0x	0.5%	3.5%	7.3%	−2.86x

Top 5 shareholders (31-Mar-2026):

Holder	Stake	Type
Naito Co.	13.50%	Founder-family asset company
Master Trust Bank	12.01%	Custody
Kenji Hayashi	5.33%	Chairman, co-founder family
Custody Bank of Japan	5.04%	Custody
Rinnai Scholarship Foundation	3.04%	Family-linked

The founder families hold about 23% in total. Dalton Kizuna is on the register (stake n/a).

What an activist would say

- **The best operator in the sector, with flat shares.** EBIT margin is 10.4% vs a 3.5% peer median, but 5-year TSR is +1% against +94% for Rinnai's TOPIX sector and +105% for TOPIX.
- **Cash beyond management's own rule.**
  - Net cash of ¥170bn is 37% of market cap.
  - On management's own 2.5-months-of-sales rule, about ¥82bn (18% of market cap) is surplus.
  - ¥53bn of minority interests leak profit from partly-owned overseas subsidiaries.
- **Growth by acquisition without disclosed hurdles.** China water heaters drove the last plan's miss. The new plan adds deals in Peru, Australia, Mexico and Costa Rica, a US plant and China capacity, with no stated return thresholds.

Most actionable changes

1. **Distribute the surplus ¥80bn** via tender or accelerated buyback, and lift the payout from about 40% to 50%. Adopt the cost-of-capital disclosure Dalton requested.
2. **Simplify the group.** Buy in overseas minorities where returns justify it and exit sub-scale China operations. Publish ROIC by region.
3. **Governance.** Move to a majority-independent board (now 44%), with a succession process beyond the two founder families and restricted-stock pay.

Ease of building support: 3/5. The founder families' roughly 23% is meaningful but far from blocking, and the rest of the register is institutional. Dalton has filed proposals two years running; all were rejected and vote percentages are not disclosed in our sources. A third, board-focused campaign at the June-2027 AGM is plausible.

Expected defence (inference). "Buybacks beyond plan 'could distort the financial foundation and constrain necessary growth investments' (the board's 2025 response). 'accelerate 2030' already commits to progressive dividends at about 40%, flexible buybacks and a disciplined cash rule. Our top executives hold many shares, so alignment exists. Growth in the US, China, LatAm and heat pumps is the better use of cash."

Activist angles: Capital allocation · M&A discipline · Governance

11. T. Hasegawa (4958 JP) — Tier 2

Flavours (about 90%) and fragrances · Market cap ¥140bn (US$0.89bn) · Support score 3/5

TSR	1y	3y	5y
T. Hasegawa	**+27.6%**	**+14.3%**	**+36.6%**
Peer median (Takasago, Givaudan, Symrise, IFF)	+21.5%	+43.8%	−5.7%
TOPIX-17 Raw Materials & Chemicals (1620)	+26.2%	+41.4%	+37.0%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
T. Hasegawa	1.34x	11.5x	17.8x	5.4%	11.6%	18.9%	−2.36x
Peer median	2.89x	28.0x	46.5x	2.8%	10.5%	16.2%	2.83x

Top 5 shareholders (30-Sep-2025):

Holder	Stake	Notes
Hasegawa Totaro Shoten	16.36%	Founder-family company
JPMorgan 380055	12.22%	Nominee; likely First Eagle, which filed 13% in 2018
Master Trust Bank	11.06%	Custody
JPMorgan 385632	6.02%	Nominee
Hasegawa Foreign Student Scholarship Foundation	4.94%	

The family group holds about 21%. MFS filed 6.27% in 2025. Foreign ownership is 42.5%.

What an activist would say

- **A scarce listed flavour franchise at less than half the sector multiple.** It trades at 11.5x EV/EBIT vs 28x for global F&F peers, with *higher* margins than the peer median. 3-year TSR trails peers by 30pp and TOPIX by 65pp.
- **US acquisitions keep destroying value.**
  - Flavor Ingredient Holdings: goodwill fully written off.
  - Abelei: ¥6.85bn, of which ¥3.3bn goodwill.
  - The US segment loses money, and the auditor flags the ¥28.7bn carrying value of TH USA as a key audit matter.
- **A conservative balance sheet in a sector that runs about 3x leverage.** Cash and securities are 33% of market cap and there are 30 customer cross-holdings (¥10.7bn). SG&A is 25.7% of sales vs 18.5% for peers, and ROE is 5.8%.

Most actionable changes

1. **Fix or exit the US within 24 months.** Set a published margin plan with consequences, and stop further US M&A.
2. **Sell the cross-holdings and return about ¥20bn** of surplus cash through cancelled buybacks. Set an ROE target of at least 10%, and link the ¥36.8bn capex plan to returns.
3. **Explore strategic alternatives.** In a consolidating global F&F industry, a combination or minority partnership could close the roughly 2.4x multiple gap. The family's 21% is the decisive relationship.

Ease of building support: 3/5. The family group is about 21%, and "other corporations" (including the family company and customer cross-holders such as Ajinomoto and Takasago) hold 23.7%. Long-term value holders (First Eagle about 12%, MFS 6%) are natural allies for a capital-efficiency agenda but are unlikely to back a hostile campaign. The approach should be private engagement first.

Expected defence (inference). "Cash is committed to a ¥36.8bn capex programme and to selective M&A in Southeast Asia and the US. Returns have stepped up: DPS +35% to ¥100, DOE of at least 3% and ¥2.2bn of buybacks. Cross-holdings support customer relationships and are reviewed against WACC. The US is being fixed with outside consultants."

Activist angles: M&A discipline · Capital allocation · Strategic alternatives

12. Shibaura Machine (6104 JP) — Tier 2 (activist present: Oasis)

Injection and die-cast moulding machines, machine tools, controls · Market cap ¥114bn (US$0.72bn) · Support score 4/5

TSR	1y	3y	5y
Shibaura Machine	**+22.6%**	**+38.2%**	**+106.9%**
Peer median (DMG Mori, Okuma, Makino, Sodick, Japan Steel Works)	+45.3%	+116.3%	+101.9%
TOPIX-17 Machinery (1624)	+14.7%	+78.5%	+104.9%
TOPIX	+29.0%	+78.8%	+105.2%

The 5-year return is in line only because of 2021–23 gains. Over 3 years Shibaura trails peers by 78pp and its sector by 40pp.

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Shibaura Machine	0.70x	30.8x (depressed EBIT)	n.m.	−9.8% (working-capital build)	2.3%	5.1%	−4.5x
Peer median	1.07x	14.2x	14.7x	4.0%	7.5%	11.5%	−0.5x

Top 5 shareholders (31-Mar-2026):

Holder	Stake	Type
Master Trust Bank	16.58%	Custody
Custody Bank of Japan	8.94%	Custody
Nomura Securities	4.34%	Broker
Shizuoka Bank	2.52%	Bank
Employee shareholding association	2.30%	Employees

Large-holding reports show Nomura group 7.87%, **Oasis Management 5.23%** (Aug-2025) and Sumitomo Mitsui Trust 5.15%. Treasury is 4.7%. There is no parent or family.

What an activist would say

- **The mid-term plan has failed.** The 2026 mid-term plan promised ¥200bn of sales, a 10% OP margin and ROE of at least 9.5% for FY3/27; guidance implies ¥137bn, 3.1% and about 2%. Q1 FY3/27 was an operating loss after moulding-machine margins fell from 10.3% to 2.8% on lost Chinese battery-separator orders.
- **Non-operating assets are half the market cap, and they are being spent on deals.** Net cash is ¥28bn, cross-holdings ¥11.5bn and unrealised gains on rental property ¥15.7bn: about ¥55bn, or 49% of market cap. About ¥24bn (21% of market cap) is going to Moore Nanotechnology (US), the third acquisition in 13 months.
- **The cost base and returns are out of line.** SG&A is 27.5% of sales vs 22.6% for peers. FY3/26 ROE was 0.9% and the dividend payout 322%. 3-year TSR is +38% against +116% for machine-tool peers.

Most actionable changes

1. **Pause M&A.** Re-underwrite the Moore deal in front of the board's independent directors, and impose a moratorium until the new mid-term plan (due May-2027) sets ROIC hurdles.
2. **Monetise the non-operating assets.** Sell the cross-holdings (¥11.5bn) and the rental property (fair value ¥25.3bn, including the MFLP Zama interest), and return at least ¥30bn through cancelled buybacks.
3. **Restructure.** Exit or sell the loss-making, sub-scale Control Machinery segment, bring SG&A to peer level, and tie pay to ROE of at least 8%.

Ease of building support: 4/5. There is no parent, family or strategic anchor; the top-10 holders total 44%, mostly custody. Oasis (5.2%) is already on the register and the board is 58% outside directors. The obstacle is cultural: the large-purchase policy cites "greenmail", and the 2020 Murakami contest made management defensive. That argues for a plan-based campaign timed to the new MTP and the June-2027 AGM.

Expected defence (inference). "The downturn is cyclical and China-specific; non-China moulding, machine tools and precision machines are growing, and Q1 orders rose. We maintained the ¥140 dividend despite lower earnings. Moore is central to our ultra-precision portfolio transformation. Aggressive asks amount to greenmail or asset-stripping."

Activist angles: M&A discipline · Capital allocation (non-operating assets) · Operations and overhead · Governance

13. KH Neochem (4189 JP) — Tier 2 (activist present: Strategic Capital)

Oxo-process chemicals: refrigerant-oil feedstocks, cosmetics ingredients, electronic solvents · Market cap ¥122bn (US$0.78bn) · Support score 4/5

TSR	1y	3y	5y
KH Neochem	**+32.5%**	**+68.6%**	**+32.2%**
Peer median (Adeka, Nippon Shokubai, Mitsui Chemicals, Daicel)	+33.9%	+65.5%	+98.9%
TOPIX-17 Raw Materials & Chemicals (1620)	+26.2%	+41.4%	+37.0%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
KH Neochem	1.22x	10.5x	13.4x	9.6%	11.6%	17.4%	0.45x
Peer median	1.02x	13.9x	16.0x	2.6%	6.9%	14.2%	1.51x

Top 5 shareholders (30-Jun-2026):

Holder	Stake	Type
JAPAN-UP (Strategic Capital fund)	17.17%	Activist; 18.24% per its Jun-26 filing
Master Trust Bank	11.92%	Custody
Custody Bank of Japan	7.59%	Custody
Tosoh	4.99%	Strategic
State Street	3.39%	Nominee

Treasury is 5.4%. There is no parent or family.

What an activist would say

- **Higher margins, lower multiple.** EBIT margin is 11.6% vs a 6.9% peer median, yet EV/EBIT is 10.5x vs 13.9x and FCF yield is 9.6%. 5-year TSR (+32%) trails chemical peers by 67pp and TOPIX by 73pp.
- **An under-levered balance sheet.** ND/EBITDA is 0.45x against a 1.5x peer median. About ¥30bn of debt capacity could fund a recapitalisation and still leave leverage below 2x.
- **Basic Chemicals dilutes a high-quality specialty business.** It runs at about a 2% margin under import pressure, while Functional Materials earns about 20%. The 15% ROE target is unachievable while it remains.

Most actionable changes

1. **Recapitalise.** Execute a ¥30bn debt-funded tender (about 25% of market cap) and keep the new 50% payout / 5% DOE floor.
2. **Separate Basic Chemicals.** Sell it, put it in a JV with a domestic consolidator, or carve it out under a supply agreement. The company's integration argument should be tested by an independent adviser.
3. **Set a 2027 AGM-ready governance package**: an independent-majority board, published ROIC by field, and pay linked to ROE.

Ease of building support: 4/5. Strategic Capital already owns about 18% and management has started to concede (payout to 50% and DOE to at least 5% in Aug-2026, plus a capital-allocation review). With no anchor apart from Tosoh's 5%, the register is open. A second activist's best role is as a supportive co-investor ahead of the March-2027 AGM.

Expected defence (inference). "We have already acted: 50% payout, DOE of at least 5%, a ¥5bn buyback and an ongoing capital-allocation review to reach 15% ROE. Basic Chemicals supplies integrated feedstock at Yokkaichi and Chiba, and divesting it breaks the chain. Growth capex in refrigerant oils and electronic materials needs flexibility."

Activist angles: Capital structure · Portfolio simplification · Governance

14. Wacom (6727 JP) — Tier 2 (activist present: AVI)

Digital pen technology: OEM digitisers (Samsung) and branded tablets · Market cap ¥114bn (US$0.72bn) · Support score 4/5

TSR	1y	3y	5y
Wacom	**+11.4%**	**+59.6%**	**+34.4%**
Peer median (Logitech, Elecom, Synaptics, ELAN Micro)	+12.8%	+23.0%	+19.2%
TOPIX-17 Electric Appliances & Precision (1625)	+47.4%	+114.1%	+118.3%
TOPIX	+29.0%	+78.8%	+105.2%

Wacom beats its hardware peers but trails its TOPIX sector by 54–84pp over 3 and 5 years. The company's own disclosure shows TSR of 114% vs 202% for TOPIX over FY3/21–26.

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Wacom	0.96x	7.8x	11.4x	7.5%	12.3%	14.1%	−0.62x
Peer median	2.85x	12.6x	12.4x	3.6%	14.9%	17.0%	−1.18x

Top shareholders (31-Mar-2026):

Holder	Stake	Notes
Master Trust Bank	13.82%	Custody; includes part of AVI's holding
Samsung Electronics Singapore	6.24%	Largest customer
AVI Japan Opportunity Trust	4.78%	AVI's aggregate across funds is 14.82% (Jun-2026)
4th and 5th holders	n/a	

There is no family or parent.

What an activist would say

- **One customer, one profit engine, a sub-scale brand.**
  - Samsung is about 42% of sales.
  - Technology Solutions earns about 22% EBIT margin.
  - Branded Products (¥30bn sales) earned about 1.5% in CY2025 after swinging to a ¥4bn loss in FY3/23.
  - SG&A is 26% of sales vs about 18.5% for peers.
- **Cheap for a reason that can be fixed.** It trades at 7.8x EV/EBIT and a 7.5% FCF yield vs 12.6x and 3.6% for peers.
- **Governance warning signs.**
  - In Mar-2026 the company paid about ¥1.66bn for a loss-making business represented by a then outside director.
  - The CEO got only 64.3% approval at the June-2026 AGM.
  - AVI's director nominee received 43.4%.

Most actionable changes

1. **Run a strategic review of Branded Products**: sale, licensing or partnership with a consumer-electronics brand, leaving a focused high-margin OEM technology company.
2. **Board renewal.** Seat the AVI-backed capital-markets director (43% support shows he can win), set up an independent committee to review the related-party acquisition, and plan CEO succession.
3. **Capital and customer strategy.** Diversify beyond Samsung, and keep a total return of at least 50% with cancellation of repurchased shares (the share count is already down 19% since 2022).

Ease of building support: 4/5. There is no anchor apart from Samsung's 6.2%. AVI's 14.8% plus the 35.7% vote against the CEO and the 43% vote for AVI's nominee show the register is ready for change. The next AGM can plausibly flip a board seat.

Expected defence (inference). "Chapter 4 is delivering: OP up 31%, Branded back in profit, at least 50% total return with a progressive dividend, and 19% fewer shares. The Samsung partnership is a moat. The related-party acquisition was vetted by an independent committee. A majority of shareholders supported management."

Activist angles: Governance · Portfolio (Branded) · Customer concentration / strategy

15. Teikoku Sen-i (3302 JP) — Tier 2 (activist present: NAVF / Dalton)

Fire hoses, rescue and disaster-prevention equipment, technical textiles · Market cap ¥75bn (US$0.48bn) · Support score 2/5

TSR	1y	3y	5y
Teikoku Sen-i	**−8.2%**	**+69.2%**	**+57.4%**
Peer median (Morita, Nohmi Bosai, Hochiki, Shigematsu)	+18.9%	+109.4%	+102.4%
TOPIX-17 Raw Materials & Chemicals (1620)	+26.2%	+41.4%	+37.0%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Teikoku Sen-i	1.26x	9.1x (≈4.2x net of securities)	15.9x	6.5%	13.9%	15.8%	−4.1x
Peer median	0.97x	10.1x	13.4x	3.4%	12.1%	14.3%	−1.7x

Top 5 shareholders (31-Dec-2025):

Holder	Stake	Type
Master Trust Bank	10.26%	Custody
Nippon Active Value Fund	5.68%	Activist
Mizuho Bank	4.95%	Main bank
Meiji Yasuda Life	4.93%	Insurer
Nishimatsu Construction	3.82%	Strategic

The NAVF/Dalton group holds 10.10% (Mar-2026). Stable and cross-holders total about 26%, including Hulic (3.46%) and Tokyo Tatemono (2.67%).

What an activist would say

- **83% of the market cap is cash and securities.** Net cash is ¥25.5bn and policy shareholdings ¥36.9bn, of which the Hulic stake (¥28bn) alone is 38% of market cap. Unallocated corporate assets are 58% of total assets.
- **Cross-holdings far above proxy-adviser limits.** Policy shareholdings are roughly half of net assets, against ISS's 20% threshold for opposing the top executive. The disclosed rationale is "business relationships", and the benefit is withheld "for confidentiality".
- **Five years of no growth, run by an 80-year-old chairman-CEO.**
  - Sales grew 4% over five years and OP is flat.
  - The Teisen 2025 targets were missed, and the Teisen 2028 OP target has already been reached on an LTM basis.
  - The board is 43% independent, and one outside auditor is a sitting Hulic executive.

Most actionable changes

1. **Sell the Hulic and Tokyo Tatemono stakes** (about ¥30bn) and return at least ¥25bn through a tender offer. NAVF's ¥11bn buyback proposal is the floor, not the ceiling.
2. **Board and succession.** Move to an independent majority, remove the conflicted auditor seat, and put a CEO succession plan in place within 12 months.
3. **Reset ambition.** Re-base Teisen 2028 above current run-rate, and use the strong disaster-prevention order book (backlog +29%) for bolt-ons, or test a sale to a strategic buyer.

Ease of building support: 2/5. About 26% sits with stable or cross-holders (banks, insurers, Hulic, Tokyo Tatemono, Nishimatsu, Morita), and two proxy rounds have failed (the best was 22% for a buyback). ISS's cross-holding policy and the 10% activist group give a base. Winning requires flipping one or two cross-holders, which is plausible as banks and insurers are being pushed to exit cross-shareholdings.

Expected defence (inference). "Buybacks do not contribute to long-term value; we buy back flexibly. Our board structure enables quick decisions for a company of our size. Cash is needed for alliances, M&A and lumpy government vehicle orders, and the Hulic stake supports business ties. DPS is up 18% and we target a 50% total payout."

Activist angles: Capital allocation / cross-holdings · Governance · Strategic review

16. TS TECH (7313 JP) — Tier 3 (stated TSR exception)

Automotive seats and interiors (Honda affiliate) · Market cap ¥207.5bn (US$1.31bn) · Support score 3/5

TSR	1y	3y	5y
TS Tech	**+2.3%**	**+24.6%**	**+57.6%**
Peer median (Toyota Boshoku, Tachi-S, Adient, Lear)	+7.9%	−7.6%	−2.4%
TOPIX-17 Automobiles & Transport Equipment (1622)	+7.2%	+16.1%	+44.9%
TOPIX	+29.0%	+78.8%	+105.2%

TS Tech beats a weak global seat peer set but trails TOPIX on every window and its sector over 1 year.

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
TS Tech	0.29x	12.5x	25.5x	−2.0%	2.3%	5.6%	−3.53x
Peer median	0.19x	6.8x	14.3x	18.0%	3.8%	5.8%	+0.25x

Top shareholders (31-Mar-2026):

Holder	Stake	Type
Honda Motor	21.88%	Strategic; main customer
Master Trust Bank	9.55%	Custody
Custody Bank of Japan	4.68%	Custody
Okamoto	3.93%	Business partner
5th holder	n/a	

Treasury is 5.6%. There is no founder family.

What an activist would say

- **Half the market cap is cash and securities, and the operations barely earn.** Net cash of ¥89bn (43% of market cap) plus ¥21bn of investments, no debt and 0.67x book. ROE is 2.3% against management's own 7.0–7.5% cost-of-capital estimate.
- **The margin has collapsed and overhead hasn't moved.**
  - OP margin fell from 7.2% (FY3/21) to 2.4% (FY3/26).
  - Americas OP is −76%, China revenue −37% in two years, and Asia/Europe is loss-making.
  - SG&A is 9.9% of sales vs 6.5–7.6% at Japanese peers.
- **The captive model is ending.** Honda took about 84% of sales and is unwinding cross-holdings: it sold 5.1m shares into the 2024 buyback. There is no plan for a post-Honda TS Tech.

Most actionable changes

1. **Buy Honda's 21.9% block** through a self-tender or off-market repurchase (about ¥45bn at market) funded from net cash. That removes the overhang and the cross-holding in one step.
2. **Cut SG&A to 7.5% or less of sales**, exit loss-making Asia/Europe operations, and pull the 5% OPM target forward with pay linkage.
3. **Explore strategic options**: domestic seat consolidation (Toyota Boshoku, Tachi-S) or a sponsor-backed transaction once the Honda block is resolved.

Ease of building support: 3/5. Outside Honda the register is institutional and index-heavy, with no family. Honda is itself under TSE pressure to sell cross-holdings and has already sold into a buyback, so an activist offering Honda a clean exit can be an ally rather than an opponent.

Expected defence (inference). "We return more than we earn (payout above 100%; DOE of at least 3.5%). Net cash funds new-customer wins, EV seat technology and the India JV, and cushions Honda volume swings. A new CEO and the 16th MTP (5% margin) need time. The Honda relationship is the core of the franchise."

Activist angles: Capital allocation · Overhead and operations · M&A / consolidation

17. Hi-Lex Corporation (7279 JP) — Tier 3 (activists present: LIM, Catalyst/Monex)

Control cables, window regulators, door modules and latches · Market cap ¥82.5bn (US$0.52bn) · Support score 2/5

TSR	1y	3y	5y
Hi-Lex	**−16.8%**	**+67.6%**	**+30.2%**
Peer median (Tokai Rika, Imasen, Mitsuba, Kongsberg Automotive)	+27.1%	+59.2%	+78.5%
TOPIX-17 Automobiles & Transport Equipment (1622)	+7.2%	+16.1%	+44.9%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Hi-Lex	0.11x	11.0x (≈3.2x net of securities)	1.8x (one-off gains)	2.1%	1.0%	3.8%	−3.76x
Peer median	0.27x	4.7x	7.9x	14.6%	4.7%	8.0%	−0.55x

Top 5 shareholders (30-Apr-2026):

Holder	Stake	Type
Teraura Kosan	27.73%	Founder-family asset company
Teraura Scholarship Foundation	4.07%	Family-linked
Master Trust Bank	3.30%	Custody
Nippon Life	3.29%	Insurer
Nishikawa Rubber	2.71%	Cross-holding

The Teraura group holds 31.8%. Zennor Asset Management holds 7.65–7.77%.

What an activist would say

- **The balance sheet is worth more than the company.** Net cash of ¥57bn is 69% of market cap. Add ¥32bn of investment securities and cash plus securities are about 1.37x market cap. The stock trades at 0.38x book.
- **Five years of near-zero margins.** Operating income on ¥230–300bn of sales has been −¥4.7bn to ¥3.4bn a year since FY21, with net losses in FY22–23. LTM EBIT margin is 1.0% against a 4.7% peer median.
- **Scale over returns.** The ACT door-latch acquisition from Mitsui Kinzoku added ¥78bn of sales but only ¥0.6bn of OP in nine months. It booked a ¥28bn bargain-purchase gain that flatters reported earnings. The takeover defence was renewed in Jan-2026.

Most actionable changes

1. **Return excess capital.** Hi-Lex could pay ¥50bn+ (about 60% of market cap) through a tender and still be net cash. Lift DOE to at least 5%, as Catalyst/Monex proposed.
2. **Consider going private or a strategic combination.** With the family at 31.8% and the shares at 0.38x book, an MBO or sponsor-backed take-private at a premium is the cleanest fix, and has been publicly floated by shareholders.
3. **Governance clean-up.** Abolish the takeover defence, complete the cross-holding exit (target ≤10% of net assets), and set a 4% operating-margin target with restructuring of loss-making plants (Hungary, Serbia, Indonesia).

Ease of building support: 2/5. The family's 31.8% is a near-blocking stake, and the defence plan was renewed with shareholder approval. The case is strongest as an event-driven *take-private* thesis: LIM, Catalyst/Monex and Zennor (7.7%) are already on the register and aligned. The family is the only party that can unlock value at 0.38x book.

Expected defence (inference). "ACT doubles our scale in door systems; integration and EV capex need the balance sheet, and synergies will lift margins. Returns have already risen (DPS ¥46 to ¥80, two ¥1.5bn buybacks, ¥16bn of cross-holdings sold). Low margins reflect customer volume and pricing and one-off restructuring abroad."

Activist angles: Capital allocation · Take-private / MBO · M&A discipline · Governance (takeover defence)

18. Canon Inc. (7751 JP) — Tier 3

Printing, medical systems, imaging, industrial equipment · Market cap ¥4,052bn (US$25.6bn) · Support score 3/5

TSR	1y	3y	5y
Canon	**+11.1%**	**+43.8%**	**+94.4%**
Peer median (Ricoh, Fujifilm, Konica Minolta, Nikon, HP)	+10.5%	+27.4%	+25.7%
TOPIX-17 Electric Appliances & Precision (1625)	+47.4%	+114.1%	+118.3%
TOPIX	+29.0%	+78.8%	+105.2%

Canon beats office-equipment peers but trails its TOPIX sector by 70pp over 3 years and 24pp over 5 years.

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Canon	1.02x	9.9x	11.7x	6.3%	10.2%	15.4%	0.72x
Peer median	0.57x	11.0x	11.6x	14.1%	5.0%	7.8%	1.89x

Top 5 shareholders (31-Dec-2025):

Holder	Stake	Type
Master Trust Bank	17.59%	Custody
Custody Bank of Japan	6.15%	Custody
Mizuho Bank	2.57%	Bank
Moxley & Co	1.49%	ADR depositary
SMBC Nikko	1.45%	Broker

There is no family or controlling group.

What an activist would say

- **A third of the company is held in its own treasury.** 455m shares (34.1% of issued) were held at Dec-2025, and about 37.5% after the 2026 programme. ¥800bn of buybacks since 2023 sits uncancelled under management's discretion.
- **Medical is a value trap.** Toshiba Medical cost ¥666bn in 2016. It earns a 5.6% OP margin, took a ¥165bn goodwill impairment in FY2024, and still carries low impairment headroom.
- **Thirty years of one leader, plus a listed subsidiary.** Fujio Mitarai first became president in 1995 and remains Chairman & CEO. Canon Marketing Japan is 52%-owned and listed, leaving about ¥395bn of value with its minorities.

Most actionable changes

1. **Cancel the treasury shares** (at least 30% of issued) and adopt automatic cancellation of future buybacks.
2. **Run a strategic review of Medical** (sale, spin-off or partnership), with an outside adviser and a 12-month deadline.
3. **End the parent–subsidiary listing** by buying out or selling down Canon Marketing Japan. Separate chair and CEO, and publish a CEO succession timeline.

Ease of building support: 3/5. The register is fully institutional with no strategic anchor, and governance asks (cancellation, succession, listed-subsidiary clean-up) are core to proxy-adviser and TSE agendas. The obstacle is size: at ¥4tn, meaningful ownership is expensive, so the campaign suits a large-cap specialist working with proxy advisers and global long-only holders.

Expected defence (inference). "We returned about ¥800bn through buybacks in 2023–26, and Phase VII targets 15% ROE by 2030. Medical is a long-term core business, and the 2024 impairment does not change the strategy. We already privatised Canon Electronics, and CMJ is our strategic domestic channel. We have appointed a new President/COO and added outside directors."

Activist angles: Governance · Capital allocation (treasury) · Portfolio (Medical, listed subsidiary)

19. Toei Company (9605 JP) — Tier 3

Film/TV production, cinemas (T-Joy), studios, real estate; 41% parent of Toei Animation · Market cap ¥369bn (US$2.33bn) · Support score 2/5

TSR	1y	3y	5y
Toei	**+5.9%**	**+57.8%**	**+33.6%**
Peer median (Toho, Shochiku, Kadokawa, Toei Animation)	−14.4%	+20.6%	+4.7%
TOPIX-17 IT & Services, Others (1626)	+14.1%	+65.4%	+60.7%
TOPIX	+29.0%	+78.8%	+105.2%

Toei beats domestic content peers but trails its TOPIX sector by 27pp and TOPIX by 72pp over 5 years. TSR includes special dividends.

Valuation (LTM)	EV/Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Toei	1.96x	9.9x (16.7x with TA minority at market)	15.8x	4.3%	19.9%	22.3%	−2.39x
Peer median	2.72x	28.7x	26.9x	2.9%	11.3%	15.9%	−1.95x

Top 5 shareholders (31-Mar-2026):

Holder	Stake	Type
TV Asahi Holdings	19.43%	Mutual cross-holder
TBS Television	9.34%	Strategic
Bandai Namco	7.96%	Strategic
JPMorgan 380752	7.17%	Nominee
Master Trust Bank	6.47%	Custody

The strategic bloc (TV Asahi, TBS, Bandai Namco, Tokyu, Fuji Media, NTV) totals about 49%, but no single holder is near 40%.

What an activist would say

- **The listed stakes are worth 95% of the market cap.**
  - 41% of Toei Animation is worth ¥242bn, 19.7% of TV Asahi ¥60bn and policy shares ¥48bn: about ¥350bn in total.
  - Toei's own film, TV, cinema, studio and Ginza/Kyoto real-estate businesses are therefore valued at about ¥9bn.
- **The subsidiary is the company.** Toei Animation (One Piece, Dragon Ball) generates 87% of Toei's EBIT, while Toei's own businesses earn about 5–6%. Payout is 3–10% of EPS and there were essentially no buybacks in three years.
- **A web of mutual holdings shields the board.** Toei and TV Asahi each hold about 19–20% of the other, with further stakes in TBS, Bandai Namco, Fuji, NTV and Tokyu. "Independent" directors include TV Asahi's chairman (age 82) and Tokyu's chairman.

Most actionable changes

1. **Collapse the parent–subsidiary structure**: merge with Toei Animation through a share exchange, or distribute TA shares to Toei holders, to capture the holding-company discount.
2. **Unwind the TV Asahi mutual holding** and the other policy shares (¥48bn+), and return the proceeds through buybacks.
3. **Board refresh.** Replace interlocked "independents" with genuinely independent directors and move to a 30% *consolidated* payout.

Ease of building support: 2/5. About half the register is friendly strategic holders. The opening is that the broadcasters themselves (TV Asahi, TBS, Fuji Media, NTV) face TSE, proxy-adviser and activist pressure to sell cross-holdings. The campaign therefore works by engaging Toei's holders as much as Toei's board. A long-dated, multi-company thesis.

Expected defence (inference). "Cross-holdings support IP collaboration across broadcasting and merchandising and maximise the value of our content. Content is volatile, so a cash and real-estate buffer is prudent. We just adopted a 30% payout policy and a ¥240bn content investment plan. Any Toei Animation transaction involves TV Asahi and minority-protection issues and cannot be decided by Toei alone."

Activist angles: Portfolio simplification (holdco discount) · Capital allocation · Governance (cross-holdings, interlocks)

20. Mitsubishi Motors (7211 JP) — Tier 3 (catalyst: lock-up expiry 20-Oct-2026)

Passenger cars and pick-ups (ASEAN, Oceania, Japan) · Market cap ¥466bn (US$2.95bn) · Support score 2/5

TSR	1y	3y	5y
Mitsubishi Motors	**−6.8%**	**−30.3%**	**+10.4%**
Peer median (Mazda, Subaru, Suzuki, Nissan)	−8.9%	−9.2%	+29.9%
TOPIX-17 Automobiles & Transport Equipment (1622)	+7.2%	+16.1%	+44.9%
TOPIX	+29.0%	+78.8%	+105.2%

Valuation (LTM)	EV/ Sales	EV/EBIT	P/E	FCF yield	EBIT margin	EBITDA margin	ND/EBITDA
Mitsubishi Motors	0.21x	7.7x (≈1.3x ex auto net cash)	43.6x	−16.5% (incl. finance receivables)	2.8%	5.7%	+0.65x consolidated; auto net cash ¥406bn
Peer median	0.38x	23.2x	7.6x	2.2%	2.2%	5.5%	−0.84x

Top shareholders (31-Mar-2026):

Holder	Stake	Type
Nissan Motor	26.67%	Alliance partner
Mitsubishi Corp	22.23%	Mitsubishi group
Master Trust Bank	6.29%	Custody
4th holder	n/a	
Mitsubishi Heavy Industries	1.60%	Mitsubishi group

Treasury is 8.2%. The anchors total 50.5%, but no single holder is above 40%.

> **Leverage note.** Consolidated net debt/EBITDA of 0.65x reflects the finance subsidiary's funding. The automobile business alone has ¥406bn of net cash (Mar-2026, company disclosure).

What an activist would say

- **The car business is almost free.** Auto net cash of ¥406bn is 87% of market cap. Strip it out and the operating business trades at about 1.3x EBIT. The stock is at 0.51x book.
- **Profitability has collapsed.**
  - OP margin fell from 7.7% (FY3/23) to 2.6% (FY3/26).
  - Net income fell from ¥169bn to ¥10bn, and ROE is about 1%.
  - Management concedes that parts of the last plan "have not progressed as expected".
- **The anchor structure is now optional.** The 10-year restriction on the Nissan and Mitsubishi Corp stakes expires on 20-Oct-2026. The May-2026 plan to spend ¥1tn on growth, with only ¥100bn of returns over four years, sent the shares sharply lower.

Most actionable changes

1. **Return at least ¥200bn of auto net cash.** The most efficient route is a tender or off-market buyback that gives Nissan (which needs liquidity) a partial exit at a fair price.
2. **Strategic review of alliance options** now that the lock-up has expired: Honda and Foxconn interest has been reported. Also sell the 19.9% FleetPartners stake.
3. **Independent board.** Several outside directors are drawn from the anchor shareholders' orbits, so add directors independent of Nissan and Mitsubishi Corp, and cut the ¥1tn capex plan to projects clearing a published hurdle.

Ease of building support: 2/5. No resolution can pass without Nissan or Mitsubishi Corp. The thesis works only by aligning with an anchor. Nissan is restructuring and holds a block worth about ¥124bn below its cost, so a well-priced exit mechanism is in its interest. The remaining half of the register is fragmented and institutional.

Expected defence (inference). "Cash is needed for the ¥1tn product programme (the Pajero series), electrification and support of the finance arm. Returns are protected: a ¥10 dividend floor 'under any circumstances' and ¥100bn over four years. In a tariff- and geopolitics-heavy world, the net cash is a buffer. Our strategic shareholders' decision to stay signals confidence."

Activist angles: Capital allocation · Strategic review / M&A · Governance

4. Cross-cutting observations and sequencing

The five repeating patterns, and the standard ask for each

Pattern	Where it shows up	Standard activist ask
Idle cash and securities	Hi-Lex (cash and securities ≈137% of market cap), Teikoku Sen-i (≈83%), Kumho (≈93%), GungHo (≈79% incl. Gravity), Mitsubishi Motors (auto net cash ≈87%), TS Tech (≈53%), NC (≈52%), Shibaura Machine (non-operating assets ≈49%), Rinnai (net cash 37%), Toei (listed stakes ≈95%)	Tender offer or accelerated buyback with cancellation; a published cash-holding policy (e.g. months of sales); sale of policy shareholdings
Margin gap vs peers	Omron, Daikin, Yamaha, NC, Hi-Lex, TS Tech, Shibaura Machine, Wacom (Branded), KH Neochem (Basic Chemicals), T. Hasegawa (SG&A)	Hard margin and ROIC targets linked to pay; SG&A programmes; exit of sub-scale units
Undisciplined M&A	Dentsu, Canon (Medical), NAVER (Poshmark, Dunamu terms), NC (mobile casual), T. Hasegawa (US), Hodogaya (Framochem, CDMO), Omron (JMDC, OnLogic), Rinnai (LatAm), Hi-Lex (ACT), Shibaura Machine (Moore Nanotechnology)	M&A moratorium until a capital-allocation framework with hurdle rates and post-deal reviews is adopted
Holding-company / listed-subsidiary discounts	Toei/Toei Animation, Omron/JMDC, Canon/Canon Marketing Japan, GungHo/Gravity, Hodogaya/SFC, NAVER/LY Corp and WEBTOON, Dentsu/Dentsu Soken	Merge or distribute the subsidiary, or sell it, to end the parent–subsidiary listing
Entrenched governance	Canon, Daikin, Teikoku Sen-i (long-tenured chair-CEOs); Hodogaya, Hi-Lex (takeover defences); Toei, Teikoku Sen-i (cross-holding webs and interlocked "independents")	Chair/CEO separation, independent majority, succession plan, abolition of defences, an independent committee for related-party deals

Sequencing and the calendar

Fiscal year-ends differ, so the campaign calendar is staggered. Japan's Companies Act requires shareholder proposals at least 8 weeks before the AGM, from a holder of 1% or 300 voting units held for 6 months. In Korea, proposals are due 6 weeks before the AGM, and listed-company holding thresholds are 0.5–1% held for 6 months.

Window	Event	Names
20-Oct-2026	Nissan / Mitsubishi Corp 10-year lock-up expires	Mitsubishi Motors
Late Nov-2026 onward	SFC KOSPI IPO	Hodogaya
Nov–Dec 2026	FY9/26 results and capital policy; December AGM	T. Hasegawa
30-Dec-2026	Son → Sony Music block sale closes	GungHo
Late Jan-2027	October-FY AGM	Hi-Lex
26-Feb-2027	EGM on the NAVER Financial–Dunamu exchange	NAVER
Late Mar-2027	December-FY AGMs (proposal deadlines about late Jan / early Feb)	Dentsu, Canon, GungHo, KH Neochem, Teikoku Sen-i, NAVER, NC, Kumho
Late Jun-2027	March-FY AGMs (proposal deadlines about late April)	Omron, Yamaha, Daikin, Hodogaya, Rinnai, Shibaura Machine, TS Tech, Wacom, Toei, Mitsubishi Motors

How we would allocate effort

1. **Open now, privately: Omron, Dentsu and Yamaha.** All three have institutional registers with no anchor, a quantifiable gap and no incumbent campaign. The asks are portfolio simplification and capital return, which long-only holders already support. Build to 1–3% ahead of the June-2027 (Omron, Yamaha) and March-2027 (Dentsu) AGMs.
2. **Event trades with dated catalysts: Hodogaya (SFC IPO), GungHo (Sony closing), Mitsubishi Motors (lock-up expiry).** Position size should reflect the event, not a multi-year campaign.
3. **Korea: NAVER first, then NC and Kumho.** The new treasury-share and cumulative-voting rules make board-seat and cancellation demands winnable without a majority. NAVER's 26-Feb-2027 EGM is the natural moment to engage on minority protection.
4. **Co-investment where an activist is already present: Daikin, KH Neochem, Wacom, Teikoku Sen-i, Rinnai, Shibaura Machine, Hi-Lex.** These registers are primed. A supportive second fund can move a 30–43% dissident vote to a majority at Wacom and Teikoku Sen-i, and adds weight to Elliott's ask at Daikin.

5. **Long-dated, relationship-led: Canon, Toei, T. Hasegawa, TS Tech.** The value is large but unlocking it depends on a few counterparties: Canon's CEO succession, the TV Asahi cross-holding at Toei, the Hasegawa family, and Honda at TS Tech. Engage privately and let the TSE/stewardship backdrop do part of the work.

The Korean exceptions problem

Of the 20 Korean names that pass the leverage test, nine fail the 40% control test. Three are listed subsidiaries (Doosan Bobcat, Iljin Electric, KT Alpha). Six are family-controlled small caps where the family group owns 42–62%: Ubiquoss, Daehan Flour, Seoul City Gas, It's Hanbul, SNT Motiv and Sindoh. Seven more family-run small caps were not verified. These are among the cheapest stocks screened: Seoul City Gas, It's Hanbul and Sindoh trade below net cash. Minority-shareholder proposals have started to appear: Daehan Flour shareholders forced a vote on a buyback in March 2026. They are not campaignable on the mandate's ownership test. They could be revisited as *minority-protection* situations under Korea's amended Commercial Act, but that is a different strategy.

5. Appendix — screening record: names excluded, and why

The source list contained 124 unique securities: 90 Tokyo-listed and 34 Korea-listed. Duplicate lines in the list were removed. Every name was screened. The tables below record why the 104 names not in the final 20 were set aside, so the screen can be audited and re-run.

A. Excluded on balance-sheet capacity (net debt/EBITDA ≥ 1.0x or not meaningful)

Company	Ticker	Net debt / EBITDA (LTM)	Comment
Rakuten Group	4755 JP	n.m.	Consolidated figures include Rakuten Bank/Card. Non-financial leverage is high after the mobile build-out.
Nissan Motor	7201 JP	≈14x consolidated	Restructuring; auto business under stress
Park24	4666 JP	1.75x	
Tokyo Electron Device	2760 JP	2.0x	
Hokuriku Electric Power	9505 JP	7.2x	Regulated utility
Hokuetsu	3865 JP	4.3x	
Daio Paper	3880 JP	4.3x	
Mitsubishi Chemical Group	4188 JP	3.6x	
Sumitomo Chemical	4005 JP	2.6x	
DIC	4631 JP	2.7x	
Shochiku	9601 JP	4.6x	
Tosei	8923 JP	5.5x	Real-estate developer
Goldcrest	8871 JP	7.1x	Real-estate developer
Sotetsu Holdings	9003 JP	Net debt ¥418bn (>5x, approx.)	Railway
West Japan Railway	9021 JP	3.7x	Railway
Japan Airport Terminal	9706 JP	1.5x	
KYB	7242 JP	1.8x	
Saibu Gas Holdings	9536 JP	9.7x	Utility
Autobacs Seven	9832 JP	1.08x	Borderline; fails a literal test
gumi	3903 JP	Net debt, LTM EBIT loss	Micro-cap
Doosan Corp	000150 KS	2.6x	
Pan Ocean	028670 KS	3.5x	
CJ Corp	001040 KS	2.9x	
KCC	002380 KS	5.3x	
KISCO Holdings	001940 KS	16x	Loss-making
Kolmar Holdings	024720 KS	2.7x	
SK Chemicals	285130 KS	2.4x	
SK Discovery	006120 KS	4.5x	
SK Inc	034730 KS	2.9x	
Solum	248070 KS	3.5x	
Young Poong	000670 KS	9.2x	Loss-making
Taekwang Industrial	003240 KS	n.m. (EBITDA ≈ nil)	
Coway	021240 KS	1.9x	
GS Holdings	078930 KS	1.1x	

B. Excluded on control (a single holder or controlling group above 40%), or no longer investable

Company	Ticker	Controlling holder / status
Yutaka Giken	7229 JP	Delisted 10-Jun-2026 after Motherson tender offer (Honda sold 69.7%)
Shinko Shoji	8141 JP	Subject to Kaga Electronics tender offer (¥1,580) to become a wholly owned subsidiary

Company	Ticker	Controlling holder / status
Hokkaidenko	1832 JP	Hokkaido Electric group 55.8% of votes
Shin-Etsu Polymer	7970 JP	Listed subsidiary of Shin-Etsu Chemical
Toei Animation	4816 JP	Toei 41.0% plus TV Asahi 20.0% (≈61%); addressed through Toei (#18)
SK Kaken	4628 JP	Fujii family 41.2% (incl. Shikoku Kosan 31.9%)
Corona	5909 JP	Corona Kosan, Uchida foundation and family ≈47%
Xebio Holdings	8281 JP	Morohashi group ≈38%, ≈49% with the family foundation
oRo	3983 JP	Founder 39.3% plus co-founder 17.8% (57%)
Komeri	8218 JP	Sasage family companies and foundation ≈42–44%
M&A Capital Partners	6080 JP	Founder Satoru Nakamura 42.2%
Daiho	1822 JP	Aso Corp 50.1%
Doosan Bobcat	241560 KS	Doosan Enerbility ≈46% (parent)
Iljin Electric	103590 KS	Listed subsidiary of Iljin Holdings
KT Alpha	036030 KS	Listed subsidiary of KT
Ubiquoss Holdings	078070 KQ	Founder ≈50%; group 52.6–53.1%
Daehan Flour Mills	001130 KS	Family vehicle D&B 27.8%; group 42.3% (borderline)
Seoul City Gas	017390 KS	Chairman's vehicle 26.3%; group 51.2%
It's Hanbul	226320 KS	Chairman 35.3%; group 61.6%
SNT Motiv	064960 KS	SNT Holdings 45.1%; group 46.3%
Sindoh	029530 KS	Family vehicle 22.6%; group 48.7%
TOC	8841 JP	Otani group 52.0% (New Otani 24.1% plus family vehicles). Rental-property unrealised gain ≈1.6x market cap: an MBO candidate, not a campaign.

C. Excluded because the TSR test is not met (5-year return in line with or ahead of TOPIX and the sector), or the gap is already closing

Company	Ticker	5y price/TSR indication	Comment
Toyo Tire	5105 JP	≈+155%	Re-rated
Horiba	6856 JP	≈+270%	
Valqua	7995 JP	≈+290%	
Fujikura Composites	5121 JP	≈+340%	
Enplas	6961 JP	≈+270%	
A&D Holon	7745 JP	≈+215%	
MegaChips	6875 JP	≈+230%	
Meisei Industrial	1976 JP	≈+165%	
Tigers Polymer	4231 JP	≈+165%	
Matsumoto Yushi-Seiyaku	4365 JP	≈+155%	Large net cash, but TSR ahead of TOPIX
Optex Group	6914 JP	≈+145%	
Gamecard Holdings	6249 JP	≈+135%	
Kamigumi	9364 JP	≈+130%	
Obara Group	6877 JP	≈+115%	
Hosokawa Micron	6277 JP	≈+115%	
ASKA Pharmaceutical	4886 JP	≈+110%	
Ebara Jitsugyo	6328 JP	≈+100%	
Sakai Chemical	4078 JP	≈+100%	
RS Technologies	3445 JP	≈+90%	
V Technology	7717 JP	3y ≈+235%	
Seria	2782 JP	3y ≈+100%	
Tsurumi Manufacturing	6351 JP	TSR +214% vs peers +221%	Dalton already engaged

Company	Ticker	5y price/TSR indication	Comment
Fukuvi Chemical	7871 JP	≈+85%	Micro-cap (≈US$125m)
Imasen Electric	7266 JP	≈+50%, 3y ≈+65%	Micro-cap (≈US$125m); cheap but sub-scale
SNT Holdings	036530 KS	3y ≈+215%	

5-year figures marked ≈ in this table are screening indications from a total-return-adjusted price series, not the S&P price-plus-dividend method used for the 20 dossiers.

D. Not taken forward for other reasons

Company	Ticker	Reason
Sanken Electric	6707 JP	Loss-making (LTM EBIT margin −8%); leverage not meaningful
SHIFT	3697 JP	Founder-led growth company; not a value/activist profile
Appier Group	4180 JP	Founder-led growth company; not a value/activist profile
JSP	7942 JP	Listed affiliate of Mitsubishi Gas Chemical; parent stake not verified in this pass
Kabuki-za	9661 JP	Shochiku-related; tiny revenue base (¥3.7bn)
Fudo Tetra	1813 JP	Passes leverage (−0.2x) but was not prioritised; candidate for a second pass
Aoyama Zaisan Networks, Helios Techno	8929 JP, 6927 JP	Micro-caps (≈US$110–200m); liquidity too thin for a campaign
Motonic, SYTS, Eusu Holdings, KPX Chemical, Kukbo Design, Daewon San Up, Iljin Holdings	various KS	Korean small caps with large TSR gaps vs KOSPI 200, but family or holding-company control is typical. Registers were **not** verified in this pass; check DART before dismissing.

E. Monitor list — near-misses that could enter the 20 on a change of facts

Company	Ticker	Why it is close	What would move it in
Toho Holdings	8129 JP	3D Investment Partners holds about 24%. The Tokyo District Court enjoined Toho's poison pill on 18-Sep-2026, and Toho's objection is pending. Net cash plus securities equal about 66% of market cap.	It fails the 5-year TSR test (+130% vs a +64% peer median). It is a live special situation better approached as a co-investment.
Tokyotokeiba	9672 JP	37% EBIT margin, 7.6x EV/EBIT, and a ¥160bn racecourse redevelopment (1.3x market cap) approved Sep-2026	Three public bodies hold 45.6% ex-treasury, so support is impractical unless the Tokyo Metropolitan Government engages.
Seiko Epson	6724 JP	Margin gap remains	Re-rated by +80% in a year on its new capital policy
MatsukiyoCocokara	3088 JP	Flat 3-year TSR; 35.7% payout vs its own 50% target	Ahead of drugstore peers over 5 years; the best operator in its peer set
Mirai Industry	7931 JP	**Treasury shares are 32.8% of issued and uncancelled.** Cash is about 51% of market cap; 3-year TSR is +13% vs +42% for peers.	5-year TSR is ahead of peers, and an insider-friendly bloc of about 42% makes votes hard.
Katakura Industries	3001 JP	Real-estate-rich, net cash	TSR gap narrowing
The Pack	3950 JP	NAVF holds 10.8% (doubled in H1-2026). TSR trails peers by 53pp over 3 years and 59pp over 5 years.	Management has pre-empted the case with a 70% total payout and a P/B > 1 priority.
Nakayama Steel Works	5408 JP	0.3x book, net cash, 3-year TSR −18%	A Hanwa/YODOKO placement takes business partners to ≈46%, and a 20%-trigger takeover defence is in place.

F. Data notes and sources

- **Market data and financials:** S&P Capital IQ (via S&P Global Adaptive Retrieval and the deterministic financial API), pulled 15-Oct-2026.
  - LTM to 30-Jun-2026 unless stated.
  - FCF for several Japanese companies uses the latest fiscal-year cash flow, because quarterly cash flows are not published.
  - FX: ¥158/US$ and ₩1,410/US$.
- **TSR method:** split-adjusted closes on four fixed dates plus fiscal-year DPS in the window, with no reinvestment.
  - Peer medians use the same method.

  - Sector-index (NEXT FUNDS TOPIX-17 ETF), TOPIX (ETF 1306) and KOSPI 200 (KODEX 200) comparisons are price-only. This understates the target's underperformance by roughly 2 percentage points a year, so it is a conservative comparison.
  - Pronto price history was used only for first-pass triage (sections C and E), because part of its history is dividend-adjusted.
- **Ownership:**
  - Japan: latest annual securities report (有価証券報告書), large-holding reports and company IR.
  - Korea: DART and press summaries of filings.
  - Percentages are generally of shares outstanding excluding treasury, and dates differ by company (stated in each dossier).
  - Custody accounts (Master Trust, Custody Bank, State Street and JPMorgan nominees) aggregate many beneficial owners and are not controlling holders.
- **Filings and transcripts:** ProntoNLP-indexed annual reports, tanshin and earnings calls, cited in the working files.
- **Web sources:** web data were taken from search-engine extracts of the cited pages. Direct page retrieval was unavailable in this environment, so several AGM vote percentages and registers are marked n/a and should be confirmed from primary filings before any approach.
- **Defences** are inference based on company statements and plans, not quotations unless marked.
- **Regulatory context:**
  - Korea's third Commercial Act amendment (passed 25-Feb-2026, effective 6-Mar-2026) requires newly acquired treasury shares to be cancelled within one year as a general rule.
  - Cumulative voting became mandatory for listed companies with assets above ₩2tn under the August-2025 amendment.
  - Japan's June-2026 AGM season saw shareholder proposals at 106 companies (White & Case count).
  - ISS's Japan policy recommends against the top executive where cross-shareholdings are 20% or more of net assets.

This document is for internal discussion only. It is not investment advice and does not constitute an offer or solicitation. Figures are indicative and should be refreshed from primary sources before any capital is committed or any approach is made.